STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Brooklyn Union Gas Company dba National Grid NY for Gas Service.	**CASE 23-G-0225**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. dba Brooklyn Union Gas L.I. for Gas Service.	**CASE 23-G-0226**

CORRECTED TESTIMONY OF WILLIAM D. YATES, CPA

FOR THE

PUBLIC UTILITY LAW PROJECT OF NEW YORK, INC.

Dated: August 31, 2023

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Introduction and Overview

Introduction

Q. Please state your name, business address, and identify for whom you are presenting testimony in these proceedings.

A. My name is William D. Yates, my office address is at the Public Utility Law Project of New York, Inc., 194 Washington Avenue - Suite 320, Albany, NY 12210. I am presenting testimony in these proceedings for the Public Utility Law Project of New York, Inc. ("PULP").

Q. Please describe PULP and your relationship to the organization.

A. PULP is a New York not-for-profit corporation that was formed in 1981. Its primary focus is to promote and defend the legal rights of residential utility consumers by educating the public, regulators, and elected officials about the impacts of utility rates, conducting research on the rights and energy burden of utility consumers, and through advocacy, emphasizing the rights and needs of low-income utility consumers. I have been employed by PULP in various capacities since July of 1990. I am currently Director of Research for PULP.

Q. What is your educational background, your professional qualifications, and employment history?

A. I am a graduate of Colgate University (B.A. in History, 1982) and a graduate of the New York University Stern School of Business Administration (M.S. in Accounting, 1987). I am a Certified Public Accountant ("CPA"), licensed to practice in New York State since 1987, and I am a member of the American Institute of Certified Public Accountants ("AICPA").

Q. Have you previously testified before the New York State Public Service Commission?

A. Yes, I have provided testimony before the Public Service Commission ("PSC" or "Commission") on behalf of PULP in several prior proceedings, including the following cases in 2012 and 2013, and from 2016 through the present:

Cases 12-E-0201 and 12-G-0202 (Niagara Mohawk, a/k/a National Grid-Upstate);

Cases 13-E-0030 and 13-G-0031 (Con Edison);

Cases 16-E-0058 and 16-G-0059 (National Grid-NY; and National Grid-LI);

Cases 16- E-0060 and 16-G-0061 (Con Edison);

Case 16-G-0257 (National Fuel Gas);

Cases 15-M-0127, 12-M-0476 and 98-M-1343 (ESCO Evidentiary Proceeding);

Cases 17-E-0238 and 17-G-0239 (Niagara Mohawk);

Cases 17-E-0459 and 17-G-0460 (Central Hudson);

Cases 18-E-0067 and 18-G-0068 (Orange & Rockland);

Cases 19-E-0065 and 19-G-0066 (Con Edison);

Cases 19-G-0309 and 19-G-0310 (National Grid-NY; and National Grid-LI);

Cases 19-E-0378, 19-G-0379, 19-E-0380 and 19-G-0381 (NYSEG & RG&E);

Cases 20-E-0380, 19-G-0381 (Niagara Mohawk, a/k/a National Grid-Upstate);

Cases 20-E-0428, 19-G-0429 (Central Hudson);

Cases 21-G-0073 and 21-E-0074 (Orange and Rockland);

Cases 22-E-0064 and 22-G-0065 (Con Edison), and;

Cases 22-E-0317, 22-G-0318, 22-E-0319 and 22-G-0320 (NYSEG & RG&E);

In Cases 12-E-0201 and 12-E-0202, I testified regarding the experience of utility customers of Niagara Mohawk who entered into contracts for "commodity" (or "supply") with energy service companies ("ESCOs"). The testimony I provided in that case was the first time that evidence of ESCOs systematically charging more than the utility was put forward in a PSC rate case.

In Cases 13-E-0030 and 13-G-0031, I testified regarding the Joint Proposal's low-income assistance changes, and data reflected in Collection Activity Reports ("CARs") filed

monthly by Con Edison, concerning its residential customers with arrears who were at risk of actual or threatened interruption of utility service.

In Cases 15-M-0127, 12-M-0476 and 98-M-1343, I submitted direct and rebuttal testimony on ESCO excess electric and gas charges.

In Cases 16-G-0058 and 16-G-0059, I testified regarding affordability issues, matters relating to the Home Energy Fair Practices Act ("HEFPA"), and rate design in the KEDNY and KEDLI service areas of National Grid. I also provided testimony concerning the cost of SIRs and superfund site cleanup.

In Cases 16-E-0060 and 16-G-0061, I testified regarding affordability issues, HEFPA related matters and rate design in the Con Edison service area.

In Case 16-G-0257, I testified concerning affordability issues, rate design and low-income program funding in the National Fuel Gas service area.

In Cases 17-E-0238 and 17-G-0239, I testified concerning affordability issues, HEFPA related matters, collection practices, AMI, certain issues concerning medical conditions and low-income program funding in the Niagara Mohawk service area.

In Cases 17-E-0459 and 17-G-0460, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, electric vehicles subsidies, employee stock purchase plan matters, and reliability challenges in the Central Hudson service area.

In Cases 18-E-0067 and 18-G-0068, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and identification procedures in the Orange & Rockland Utilities service area.

In Cases 19-E-0065 and 19-G-0066, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and customer complaints in the Con Edison service area.

In Cases 19-G-00309 and 19-G-0310, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and customer complaints in the KEDNY and KEDLI service areas.

In Cases 19-E-0378, 19-G-0379, 19-E-0380, and 19-G-0381, I testified concerning affordability issues, rate design, HEFPA related matters, collections practices, closure of customer service offices, and customer complaints in the NYSEG and RG&E service areas.

In Cases 20-E-0380 and 20-G-0381, I testified concerning affordability issues, rate design, HEFPA related matters, collections practices, advanced metering infrastructure, low- and moderate-income energy efficiency, and customer complaints in the Niagara Mohawk service area.

In Cases 20-E-0428 and 20-G-0429, I testified concerning affordability issues, rate design, HEFPA related matters, collections practices, low- and moderate-income energy efficiency, and customer complaints in the Central Hudson service area.

In Cases 21-G-0073 and 21-E-0074, I testified concerning affordability issues, rate design, low- and moderate-income energy efficiency, and language access in the Orange and Rockland service area.

In Cases 22-E-0064 and 22-G-0065, I testified concerning affordability issues, rate design, and customer service issues in the Con Edison service area.

In Cases 22-E-0317, 22-G-0318, 22-E-0319 and 22-G-0320, I testified concerning affordability issues, rate design, and customer service issues in the NYSEG and RG&E service areas.

Overview

Purpose Of Testimony

Q. What is the purpose of your testimony in these proceedings?

A. The purpose of my testimony is to provide evidence demonstrating that the affordability of gas utility service rendered by the Companies to a potentially large number of low-income households in their service areas would be further jeopardized by the delivery rate increases requested in these proceedings, which for the average usage heating customers of National Grid USA's New York City and Long Island gas utilities (hereinafter "KEDNY" and "KEDLI", respectively) would amount to 29% and 31%, respectively; and for the average

usage non-heating customers of KEDNY and KEDLI would amount to 38% and 35%, respectively. It is also to furnish recommendations that, if adopted, could help reduce the scale of such requests and improve the customer service experience of some of KEDNY and KEDLI's most vulnerable customers.

Based on the most recent data available from the U.S. Census Bureau, I estimate that gas energy burdens among low-income households in the KEDNY and KEDLI service areas averaged 4.1% and 5.9%, respectively in 2021. I also estimate that overall energy burdens (electric, gas and deliverable fuel) for these households averaged 10.0% in the KEDNY service area and 13.8% in the KEDLI service area. To the extent that these households represent KEDNY/KEDLI customers eligible for, but not enrolled in, the Companies' energy affordability programs ("EAPs"), the requested residential rate increases would result in an unacceptable exacerbation of gas energy burdens for the affected households.

Adding weight to my affordability concerns is the persistent state of elevated arrears for those KEDNY/KEDLI customers not enrolled in EAP. Collections Activity Reports ("CARs") for the "trailing twelve months", or "TTM" ended June 30, 2023, show that the average arrears of these "Non-EAP" customers were 150% more than pre-pandemic levels at KEDNY while almost 130% higher at KEDLI. This was the case even after the application of arrears relief under the Commission's laudable efforts in 2022 and 2023 to provide extensive assistance to residential customers impacted by the COVID-19 pandemic.

To the extent that high-energy burden households in the Companies' service areas are EAP-eligible customers of the Companies who are not current participants, one of the best ways to avert a further, harmful spike in their energy burdens is get them enrolled. In this regard, while there has been incremental progress in EAP enrollment at KEDLI since 2019, KEDNY participation, which averaged about 155,000 customers in 2019, dropped to approximately 148,000 participants by June, 2023.

To further protect low-income households and disadvantaged communities ("DACs") in the KEDNY/KEDLI service areas from harmful rate increases they cannot afford, I recommend that in these proceedings the parties and the Commission endeavor to limit residential bill impacts to the minimum necessary to ensure safe, reliable service at just and

reasonable rates; and to achieve statewide policy objectives such as low-income energy affordability and the requirements of the CLCPA. This effort should include, but not be limited to, basing the Companies' authorized equity ratios and return on equity ("ROE") upon the Commission's "Generic Financing Methodology", and exploring alternative rate designs that would, at a minimum, freeze monthly fixed charges for electric and gas and, more generally, reward conservation and energy efficiency through lower delivery bills.

Finally, I offer some customer service proposals addressing measures that can be taken to protect vulnerable customers from the negative impacts of such issues as: comparatively low levels of residential deferred payment agreements ("DPAs") as a percent of arrears; awareness of protections against service terminations for elderly, blind and disabled customers; improvement of language access for households with limited English proficiency having difficulty paying their bills; suspension of service termination in periods of extreme cold weather; and instances of domestic violence that have implications for the personal safety and continued utility service of the victims.

Q. Are you sponsoring any exhibits?

A. Yes. I am sponsoring six (6) exhibits, as follows:

- Exhibit__(WDY-01): A set of analyses I prepared to support various findings and recommendations in my testimony.
- Exhibit__(WDY-02): Tables of energy burden-related variables for households in the KEDNY and KEDLI service areas derived from the most recent (2021) ACS Microdata made available by the U.S. Census Bureau. Accompanying these tables is the computer code I used to query the ACS Microdata.
- Exhibit__(WDY-03): A further set of analyses, all of which pertain to my finding and recommendations regarding the authorized return on equity ("ROE") to be determined for the Companies in these proceedings.
- Exhibit__(WDY-04): The Companies' responses to information requests ("I/Rs") issued by PULP in these proceedings (certain of which include attachments).
- Exhibit__(WDY-05): Larger attachments to the responses of certain PULP I/Rs not included in Exhibit__(WDY-04).

- Exhibit__(WDY-06): A table of variables, computer code and Census Bureau maps pertaining to an analysis of the prevalence of energy burdened households in two ACS Microdata areas within the KEDNY service territory.

Findings

Q. What are the major findings of your testimony in these proceedings?

A. My testimony examines affordability and customer service in several areas, including but not limited to evidence that:

1. For average usage residential ratepayers, the Companies' requested residential gas rate increases and accompanying increases in monthly fixed charges would impose higher heating delivery bills of 29% at KEDNY and 31% at KEDLI. The equivalent bill impacts proposed for non-heating customers would be 38% at KEDNY and 35% at KEDLI. Non-Heating EAP participants of both companies would experience even higher percentage increases, since non-heating EAP discounts are not updated to reflect the bill impacts of new rates in the same manner as are heating discounts.

2. Low-income households in the KEDNY and KEDLI service areas were already burdened by utility gas bills taking up a far higher percentage of their incomes in 2021 than the maximum 3% threshold for utility gas affordability targeted by the New York State Public Service Commission ("Commission"), and its 6% burden limit for overall electric and gas utility service, plus deliverable fuel costs. By analyzing data provided by the U.S. Census Bureau, I estimate that in 2021 about 300,000 low-income households in the KEDNY service area spent an average of 4.1% of their incomes to meet their utility gas service needs, 37% higher than the Commission's gas policy goal. I further estimate that about 77,000 low-income households in the KEDLI service area suffered average utility gas burdens of about 5.9%, 97% higher than Commission policy. Finally, I estimate that there were about 340,000 such households in the KEDNY service area whose overall electric, gas and deliverable fuel energy burdens averaged 10.0% (67% higher than Commission

policy); and about 89,000 low-income households in the KEDLI service area with overall energy burdens averaging 13.8% (130% higher than Commission policy).

3. Despite the Commission's laudable efforts in 2022 and 2023 to provide extensive arrears relief to residential customers impacted by the COVID-19 pandemic, the average number of residential customers in arrears who are not EAP participants ("Non-EAP customers"), and the amounts they owe, are still near June 2022 ("peak pandemic") levels, even after the application Phase 2 arrears relief.

4. While there has been incremental progress in EAP enrollment at KEDLI since 2019; KEDNY participation — which averaged about 155,000 customers in 2019 — dropped to approximately 148,000 participants by June, 2023. I estimate that approximately 16% of households potentially eligible for EAP in the KEDLI service area and 44% of households potentially eligible for EAP in the KEDNY service area were enrolled as of June, 2023.

5. Taken as a whole, KEDNY/KEDLI delivery rates from 2008-2022 were derived from authorized ROEs that greatly exceeded the developing expectations for macroeconomic and utility sector factors impacting the Companies' cost of equity realized during these years. In eleven out of fifteen of these years, DPS Staff's "Generic Financing Model" ("GFM") produced costs of equity ("GFM ROE") that were lower than authorized KEDNY/KEDLI ROEs. The result was that KEDNY/KEDLI ratepayers incurred up to $485 million more in the cost of their gas service than they would have if there had been such ratepayer protections in place to account for changes in macroeconomic and investor expectations during these years.

6. Since 2009, KEDNY's deferred environmental costs ("SIR") balance — the amount it eventually expects to collect from ratepayers to pay for clean-up — has increased almost 300%, from $539 million to over $2 billion. Escalating environmental costs are responsible for seven percent (7%) of KEDNY's proposed revenue requirement increase. Furthermore, the Companies propose that KEDNY's "SIR Recovery Surcharge", a mechanism established in Cases 16-G-0059 and renewed in Case 19-G-0309, be continued in the current proceeding. Such a

surcharge could add up to another two percent to KEDNY ratepayer bills, depending upon the timing and potential magnitude of SIR outlays.

7. About 490 KEDNY and 100 KEDLI census tracts in the Companies' service areas were designated as disadvantaged communities ("DACs") in the final scoping plan of the New York State Climate Action Council.[1] DACs in which the percentage of households with gas energy burdens exceeding the Commission's policy goal is higher than is the case for Non-DACs are potentially at risk of disproportionately negative impacts arising from the Companies' proposed rate increases in these proceedings. An example of DACs that may be vulnerable in this manner are the census tracts making up the ACS Microdata area for the Brownsville and Ocean Hill areas of Brooklyn.

8. Some low-usage EAP heating participants would experience net negative total gas charges over the twelve months of the proposed Rate Year should the Companies' rate increase request be granted, due to the methodology for updating EAP discounts set forth in Case 14-M-0565. Collectively, at least 6,200 KEDNY participants would experience net annual credits of some $2.2 million; while about 1,400 KEDLI participants would receive net credits of approximately $390,000.

9. Eligible KEDNY customers who require either a new or re-negotiated DPA with more affordable terms than those offered in either KEDNY's "Specific HEFPA DPA", "General HEFPA DPA" or "Extended Payment Plan" must either visit a district office to complete a financial statement or complete one on the Company's website, placing an undue burden on customers who do not have internet access, or do have internet access but have barriers to completing an online statement such as language or technology proficiency, age or disabilities, by requiring them to physically appear at a district office to obtain the affordable DPAs to which they are entitled.

[1] See, *Scoping Plan*, NYS Climate Action Council. Available at: https://climate.ny.gov/-/media/Project/Climate/Files/NYS-Climate-Action-Council-Final-Scoping-Plan-2022.pdf.

10. KEDNY and KEDLI have averaged much lower levels of DPAs as a percent of accounts in arrears than any of the other major electric and gas utilities in New York State since January 2022, except Central Hudson, which is under investigation by the Commission for apparent billing system defects. One possible reason that KEDNY's DPAs as a percent of accounts in arrears is even lower than KEDLI's is its requirement that customers needing more lenient DPAs provide documentation at a Company office unless they can do so online.

11. The number of KEDNY accounts coded for protection of elderly, blind and disabled ("EBD") customers under HEFPA declined in each year from 2018 through the most recent twelve-month period ended either April or May of 2023. The Companies were not able to report on the equivalent data for KEDLI because its CSS billing system does not contain historical data for EBD customers.

12. While the Companies follow voluntarily additional (PSC requested) cold weather protections against service terminations (other than those in HEFPA), they do not have any commitment to follow such protections in their current rate plans.

13. On October 28, 2021, Governor Hochul signed S.1557/A.4496, which requires every utility corporation to allow persons under shared contracts for utility service, and who are victims of domestic violence, to opt-out of such contracts without charge when they request to do so in writing and provide valid documentation that they have reported such abuse to law enforcement and/or other applicable authorities, however, the Companies' do not yet have any specific training materials, internal policy documents or other relevant communications involving situations in which customers indicate that they may have been the victims of domestic violence.

Recommendations

Q. In light of your findings, what are your recommendations for improving utility affordability and customer service for the Companies' low-income customers?

A. I recommend several actions that should be taken to improve utility affordability and customer service for many of the Companies' customers, including but not limited to the following:

Affordability

1. In these proceedings, the parties and the Commission should endeavor to limit residential bill impacts to the minimum necessary to ensure safe, reliable service at just and reasonable rates; and to achieve statewide policy objectives such as low-income energy affordability and the requirements of the CLCPA. This effort should include, but not be limited to:

   - Basing the Companies' authorized return on equity ("ROE") upon the Commission's "Generic Financing Methodology"[2] in a one-year case. In any multi-year settlement resulting from these proceedings, the Companies' ROE for each rate year should be set and trued-up based upon, but not exclusively reliant upon, updated cost of equity calculations produced by DPS Staff's Generic Finance Model ("GFM"). Such a framework would include an evidentiary process providing the opportunity for all parties to submit interrogatories, file witness testimony and conduct cross-examination; and would incorporate separate consideration of all factors affecting KEDNY/KEDLI's ability to maintain their current credit ratings and to raise capital most economically.

   - Exploring alternative rate designs that would, at a minimum, freeze monthly fixed charges for gas, reduce emissions which contribute to climate change (especially in areas designated by the CLCPA as "disadvantaged communities") and, more generally, reward conservation and energy efficiency through lower delivery bills;

   - Suspending the possibility of earning positive revenue adjustments and other incentive revenue in these proceedings, and;

[2] See, *Recommended Decision*, July 18, 1994, Case 91-M-0509, Proceeding on Motion of the Commission to Consider Financial Regulatory Policies for New York State Utilities.

- Addressing the disproportionate burden the Companies' proposals could impose on disadvantaged communities identified as vulnerable by virtue of energy poverty/cost burden and other income-related indicators. No proposals should be adopted that are inconsistent with CLCPA Section 7(3).

2. In the event that these proceedings result in a multi-year settlement that includes an "earnings sharing mechanism" ("ESM"), I propose that:

   a. No "dead band" be included in the ESM, and;

   b. Shareholders and ratepayers share any earnings derived from actual returns in excess of authorized ROE evenly, and;

   c. Both KEDNY's share and the customer share of any ESM adopted in these proceedings be used to pay down Deferred Environmental Costs (Account 182.3).

3. The Companies' requests for additional resources to increase EAP enrollment should be approved, but with a greater commitment to conduct direct outreach as part of this effort. Specifically, the Companies' plans for direct outreach should include highly targeted, community-based approaches that prioritize census tracts in which energy burdens, based on finalized DACs data, are among the highest in the State but the percentage of households enrolled in EAP is low. Within such census tracts, communities designated as DACs should receive the highest priority for direct outreach.

   Additionally, the extent to which the Companies' enrollment efforts are successful should be captured through a new customer service quality metric ("CSQM") that captures data on enrollment through self-certification, manual enrollment and the application of HEAP to customer accounts.

4. The Commission should make an updated cumulative assessment of the amount of any costs attributable to deviations by KEDNY from the requirements of the Commission's 2012 *Order Concerning Costs for Site Investigation And*

Remediation in Case 11-M-0034[3] and require a shareholder-funded reduction in the balance of deferred environmental costs (Account 182.3) recoverable from ratepayers by any such amounts.

5. In the event that projected EAP program budgets in these proceedings exceed the Commission's cap of 2% of total gas revenues for sales to end-use customers[4], any discount reductions that may be necessary first be applied by testing monthly the degree to which each EAP participant would experience net negative actual charges for the past twelve months by receiving a current month discount, and then setting that current month discount at the maximum amount that does not cause net credits for the twelve month period, up to the full amount of the discount.

Customer Service

6. The provision of the joint proposal adopted in Cases 19-G-0309 et al. eliminating the need for customers to come into a KEDNY Customer Office to provide documentation for an affordable DPA should be fully implemented. The Company should adopt a procedure allowing Company representatives to take financial statement information over the phone from customers to determine eligibility for non-standard DPAs. For those customers whose financial information indicates they would be eligible for non-standard DPAs, I further propose that such DPAs be issued, with the requirement that eligibility-confirming documentation be subsequently submitted by the customer.

7. The Companies undertake steps to boost their rates of customers with DPAs as a percentage of customers in arrears to levels comparable to those of NFG, PSEG Long Island, Con Edison, NYSEG and RG&E, which range from 28% (RG&E) to 46% (NFG). I believe a reasonable goal to set would be an effort to raise this percentage to 33%, representing the average of these six utilities. This would afford

[3] See, *Order Concerning Costs for Site Investigation And Remediation*, Case 11-M-0034. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={AC9EFACF-2A01-4629-9B7C-F5637530A026}.

[4] See, *Order Adopting Low Income Program Modifications and Directing Utility Filings*, Case 14-M-0565, at 3. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BC2F31C9-B563-4DD6-B1EA-81A830B77276}.

more residential customers of both companies the protections set forth by HEFPA against collections actions such as late payment charges, notice of service termination, actual service termination and referral to collections agencies.

8. The Companies should increase their promotion and marketing of their program for coding the accounts of customers eligible for special protections against service termination because they are elderly, blind or disabled. This effort should focus particularly on direct interactions with individual customers during outbound and inbound customer service communications, especially those related to payment and collections matters. Additionally, KEDLI should assess the capabilities of its CSS system to determine the feasibility and cost of developing the capability to track the historical coding of accounts for EBD customers.
9. The Companies' proposal to improve call center operations by enabling a third-party vendor to utilize their near-offshore facilities to manage inbound Spanish call volume associated with moves, customer connections and collections should be approved. The Companies believe this would improve the customer service experience for Spanish speakers by allowing them to speak to agents in their native language; and do not anticipate that there would be any incremental revenue requirement associated with this proposal.
10. The Companies should commit to follow their voluntarily additional cold weather protections against service terminations in any multi-year rate plan resulting from these proceedings.

Discussion

Energy Affordability Considerations For Low-Income Households

Bill Impacts of Companies' Proposed Rate Increases

Q. Please describe the Companies' proposed increases in residential heating rates.

A. According to the Companies' filing letter, a "typical" KEDNY residential heating customer with average monthly usage of 97 therms would experience a $30.95 monthly increase,

equating to an 26.1% increase in their delivery bill. A typical KEDLI residential heating customer with average monthly usage of 102 therms would see a $28.52 monthly increase, equating to a 25.1% increase in their delivery bill. However, as the filing letter also indicates,

> *"…the effect on individual customer's monthly bills will vary depending on the customer's usage and service classification.*"
>
> (Filing Letter at 3)

In their June 30, 2023, filing corrections and updates, KEDNY and KEDLI indicated that typical residential heating customers would experience increases of $33.84 and $34.79, or 28.82% and 30.69% on their monthly delivery bills, respectively. (KEDNY Exhibit ___(RDP-4CU), Schedule 4 at 4); (Exhibit ___(RDP-4CU), Schedule 4 at 4).

Q. How might the Companies' proposed increases vary for other residential heating customers?

A. For KEDNY heating customers with average monthly usage less than 97 therms, the percentage of delivery bill increases range from 14.70% to 28.51%. Above average usage customers would experience delivery bill increases ranging from 29.28% to 60.11%. (Exhibit ___(RDP-4CU), Schedule 4 at 4).

For KEDLI heating customers with average monthly usage of less than 102 therms, the percentage of delivery bill increases range from 13.97% to 30.59%. Above average usage customers would experience delivery bill increases ranging from 31.71% to 44.22%. (Exhibit ___(RDP-4CU), Schedule 4 at 4).

Q. Have the Companies proposed any increases in monthly fixed charges ("customer charges")?

A. Yes. KEDNY proposes to increase its residential heating customer charge 16%, from $21.55 to $25.00; and its residential non-heating monthly fixed charge 29%, from $16.25 to $21.00. (KEDNY Rate Design Panel Testimony at 38 – 39)

KEDLI is asking for an increase of 15% (from $21.66 to $25.00) in its residential heating customer charge, and a 31% increase in its residential non-heating monthly fixed charge, from $19.75 to $25.85 (KEDLI Rate Design Panel Testimony at 39)

Q. Do you support increased monthly fixed charges ("customer charges") for residential customers of KEDNY and KEDLI?

A. No. I propose that, instead, the parties and the Commission explore alternative rate designs that would, at a minimum, freeze these charges and, more generally, reward conservation and energy efficiency through lower delivery bills. Such measures are sensible and promote the public interest in affordability and responsible environmental stewardship. Conservation-oriented rates are particularly compelling considering CLCPA goals and requirements as they would serve to create a rate design that directs benefits to disadvantaged communities, as opposed to disproportionately burdening these communities.[5]

Q. What would the impact of these Companies proposed rate increases be on heating customers who participate in the Companies' energy affordability programs ("EAPs")?

A. Heating customers who are EAP participants with average or below average usage are projected to incur no increase in their monthly delivery bills. In fact, participants at these usage levels are forecast to have *negative* total charges. (Exhibit ___(RDP-4CU), Schedule 4 at 5)

Q. Why is this?

A. This is a consequence of the Commission's formulaic methodology for setting EAP discounts, which do not address the actual energy burdens of individual customers, but instead calculate energy burdens by utilizing certain assumptions about average income and energy costs for each of the four EAP "tiers". The Commission recognized the possibility of this situation occurring in its May 16, 2016, *Order Adopting Low Income Program Modifications And Directing Utility Filings* in Case 14-M-0565 (the "Adopting

[5] See, CLCPA § 7(3); NY Environmental Conservation Law § 75-0117

Order")[6], which is one reason why it required that EAP participants be automatically signed up for budget billing on an "opt-out" basis upon EAP enrollment.

Q. Does enrollment in budget billing prevent all EAP heating customers from receiving net credits on their total bills over a twelve month (annual) basis?

A. No. The Companies' responses to I/R PULP-01 provides evidence that in 2022, there were over 3,000 KEDNY and 1,000 KEDLI EAP participants whose aggregate total charges (delivery plus supply, net of EAP discounts) were less than $0 for the year. For KEDNY, the total of these net credits exceeded $400,000; while for KEDLI the amount was about $180,000. (Exhibit ___(WDY-04) at 2 - 3) More significantly, the Companies project that the number of EAP participants receiving aggregate annual net credits and amounts they would be credited would, based on the Companies' proposed rate increases, increase substantially during the Rate Year, with at least 6,200 KEDNY participants collectively receiving some $2.2 million and about 1,400 KEDLI participants receiving approximately $390,000. (Exhibit ___(WDY-04) at 84 - 86)

Q. Is this a problem?

A. Yes. Based on the Companies' assumptions and current enrollment levels, about 4% of KEDNY EAP participants and 10% of KEDLI participants would incur no utility gas bills at all but would in fact experience net annual credits to their accounts. (Exhibit ___(WDY)-01 at 33) As the Commission stated in the Adopting Order, providing net credits to EAP participants is not the intent of the program.[7] The policy goal of the framework is to ensure that all low-income households incur energy burdens not exceeding six percent (6%) of their annual incomes.[8] Unfortunately, however, the formulaic limitations of the current EAP framework create the possibility of annual net credit situations for an increasing number of low-usage customers. This is a problem from a policy perspective but also at a practical level, because the possibility exists in the case of KEDNY that any updated EAP budget resulting from its proposed rate increases could exceed the Commission's 2% cap.

[6] See, *Order Adopting Low Income Program Modifications And Directing Utility Filings*, Case 14-M-0565, at 25. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BC2F31C9-B563-4DD6-B1EA-81A830B77276}.
[7] *Id.* at 25.
[8] *Id.* at 3.

Under the current EAP framework, measures would then have to be taken to reduce the EAP budget, which could necessitate "across-the-board" reductions in discounts. Such an approach would likely ignore the fact that participants receiving annual net credits have, by definition, no utility gas energy burden and thus are being provided with unjustified benefits under the EAP framework. At the same time, the discounts of participants who actually incur net annual bills would be subject to reduction.

Q. What do you propose as a solution to this problem?

A. I propose that in the event that projected EAP program budgets in these proceedings exceed the Commission's cap of 2% of total gas revenues for sales to end-use customers, any discount reductions that may be necessary first be applied by testing monthly the degree to which each EAP participant would experience net negative actual charges for the past twelve months by receiving a current month discount, and then setting that current month discount at the maximum amount that does not cause net credits for the twelve month period, up to the full amount of the discount. I further urge the EAP Working Group in Case 14-M-0565 to consider whether such a test should be applied to all utilities covered under the EAP framework.

Q. Have the Companies expressed an openness to consider such a proposal in the event that budget caps are exceeded as a result of their proposals?

A. Yes. The testimony of KEDNY's Rate Design Panel indicates that, while it is not proposing any changes to the design of EAP rates or discounts at this time, it believes that there is value in further studies related to EAP customer rates and discounts, and that it will, in coordination with Staff and other stakeholders in the Energy Affordability Policy Working Group in Case 14-M-0565, consider potential new rate design elements that would benefit EAP participants and support any information requests or proposed studies on these issues. (KEDNY Rate Design Panel at 55 – 56)

Q. What would the impact of the Companies' proposed rate increases be on residential non-heating customers?

A. For non-heating residential customers, the proposed percentage increases are much higher than for heating customers. The average KEDNY non-heating customer uses 9 therms of

gas monthly. These customers would experience delivery bill increases of 38.17%. Lower usage customers would experience 26.54% to 36.59% delivery bill increases, while higher usage customers would experience 39.53% to 52.72% higher delivery bills. (Exhibit ___(RDP-4CU), Schedule 4 at 2).

The average KEDLI non-heating customer uses 17 therms of gas monthly. These customers would experience delivery bill increases of 35.72%. Lower usage customers would experience 28.33% to 35.35% delivery bill increases, while higher usage customers would experience 36.06% to 46.37% higher delivery bills. (Exhibit ___(RDP-4CU), Schedule 4 at 2)

Q. Are non-heating EAP participants, like heating participants, also shielded from rate increases?

A. No. The discount for non-heating EAP participants is set at a flat rate of $3.00 per month, regardless of income level or average energy bill. As such, the percentage impact of the Companies' proposed rate increases on non-heating EAP participants would be even higher: with KEDNY participants averaging nine therms of usage incurring 41.85% delivery bill increases, and KEDLI participants using an average of 17 therms experiencing 37 - 38% increases. (Exhibit ___(RDP-4CU), Schedule 4 at 3)

Q. Can low-income households in the Companies' service areas afford such increases?

A. For many low-income households in the KEDNY/KEDLI service areas, the evidence indicates that rate increases of the magnitude proposed by the Companies are unaffordable, a conclusion I base on data pertaining to the energy burdens of these households, as well as collections data reported by the Companies to the Commission.

Low-Income Energy Burdens

Q. Please describe the analysis you undertook of low-income households in the KEDNY and KEDLI service areas.

A. I analyzed the number of households in the KEDNY/KEDLI service areas who could be considered presumptively eligible for non-emergency Home Energy Assistance Program

("HEAP") benefits, by virtue of the income they reported in the U.S. Census Bureau's 2021 *American Community Survey* ("ACS"), their household size, and their reported payment for utility gas service. I estimated that in 2021 (the most current ACS) there were approximately 340,000 and 89,000 such households in the KEDNY and KEDLI service areas, respectively. (Exhibit ___(WDY-02) at 2 – 3)

Q. What is the American Community Survey ("ACS")?

A. The ACS is a nationwide, continuous survey designed to provide communities with reliable and timely social, economic, housing, and demographic data every year. It is conducted by the U.S. Census Bureau throughout the year. ACS questions are designed to provide measures of socioeconomic conditions using a weighting method that ensures its estimates are consistent with official Census Bureau population estimates by age, sex, race, and Hispanic origin, as well as estimates of total housing units.

The ACS includes questions about the household use and cost of electricity, natural gas and deliverable fuels. When combined with household income data, these costs provide instructive measures of energy affordability. For example, the federal government uses energy affordability data in the Low-Income Home Energy Assistance Program ("LIHEAP") to calculate its block grant allocations for each state.[9,10] Other federal uses include, but are not limited to:

- The calculation of overall housing cost burdens for purposes of allocating funds for the Community Development Block Grants, HOME Investment Partnership Program, and Emergency Solutions Grant and Housing Opportunities for Persons with AIDS programs;
- Identification of rental distribution of housing units used to determine Fair Market Rents (FMRs);

[9] See, *Why We Ask: Cost of Utilities and Condominium Fees*, U.S. Census Bureau. Available at: https://www2.census.gov/programs-surveys/acs/about/qbyqfact/CostofUtilities_CondoFees.pdf.
[10] See, *Why We Ask Questions About Income*, U.S. Census Bureau. Available at: https://www.census.gov/acs/www/about/why-we-ask-each-question/income/.

- Assessment of poverty, and determination of eligibility for housing assistance programs, including the need for housing assistance for low-income, including elderly low-income, households; and

- Estimation of utility costs included in rents for the Consumer Price Index (CPI).

Q. Why didn't you include any of the other public assistance programs set forth by the Commission in recent updates to statewide EAP eligibility criteria in your analysis of potentially EAP-eligible customers?

A. In its August 12, 2021, *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings* in Case 14-M-0565 ("EAP Update Order"),[11] the Commission determined, that in addition to receipt of HEAP, participation in any public assistance program associated with eligibility for federal Lifeline benefits would also confer EAP eligibility. The HEAP eligibility guidelines have the highest monthly income allowances of all these programs. For instance, for the 2022-23 season, two-member households with monthly income of up to $3,730 were eligible for HEAP, while the same households could only have $1,984 of income and still have qualified for Supplemental Nutrition Assistance Program ("SNAP"; formerly known as "Food Stamps") benefits.[12] As the Commission stated in justifying the expansion of eligibility-conferring criteria:[13]

> "Including public assistance programs associated with the federal Lifeline program is reasonable because the income eligibility criteria is lower than HEAP."

Q. Would all of the low-income households you estimated in your analysis be automatically eligible for EAP?

[11] See, *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings*. Case 14-M-0565, 20. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={1CFD4CE2-AB87-4A8C-B56B-F123366B1520}. The EAP Update Order expanded eligibility beyond HEAP to include, through household self-certification, proof of enrollment in public assistance programs associated with the federal Lifeline program. These include Supplemental Security Income (SSI), Supplemental Nutrition Assistance Program (SNAP).
[12] See, *Programs and Services*, New York State Office of Temporary and Disability Assistance. Available at: https://otda.ny.gov/programs/.
[13] *Supra* 11, at 20

A. No. In order to achieve EAP eligibility, such households would have to be KEDNY/KEDLI customers receiving one of the forms of public assistance outlined in the Update Order.[14] In this regard, I note that KEDNY and KEDLI, along with the other major investor-owned electric and gas utilities (the "JU"), have adopted the practice of enrolling customers in their EAPs through self-certification as long as one of members of the household is a "Benefit Qualifying Person"; that is, a member different from the customer who receives an EAP eligibility-conferring benefit.[15] I therefore concluded that, to the extent that the 340,000 low-income households I estimated in the KEDNY service area and the 89,000 low-income households I estimated in the KEDLI service area received gas service from the Companies, they represented reasonable estimates of the number of customers in the services areas who were *potentially* eligible for EAP in 2021. In my testimony that follows, I will refer to these households as "households potentially eligible for EAP."

Q. Are there other sources that support your findings?

A. Yes. In their Customer Panel Testimony, the Companies indicate that, based upon demographic data matched against their residential customer data as applied New York State Energy Research and Development Authority ("NYSERDA") guidelines, 32 percent of KEDNY's residential customers and 17 percent of KEDLI's residential customers qualify as low-income. (Customer Panel Testimony at 11-12) In their response to I/R PULP-28, the Companies explained that to arrive at this conclusion they used purchased name and address data including presumed income level and household size to identify the "actual" and "potential" number of customers eligible for EAP enrollment. The source of these data was Data Axle, a commercial provider of consumer databases built from over 100 different sources, including real estate & tax assessments, voter registration files and utility connects.[16] The Companies concluded that there were about 370,000 such KEDNY customers and 94,000 such KEDLI customers. (Exhibits ___(WDY-04) at 38-40, 80-81)

[14] See, *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings*, Case 14-M-0565, at 20. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={1CFD4CE2-AB87-4A8C-B56B-F123366B1520}.
[15] See, *Energy Affordability Program Application*, National Grid U.S., Available at: https://www.nationalgridus.com/media/pdfs/billing-payments/cm7071-eap-application_nyc.pdf, and https://www.nationalgridus.com/media/pdfs/billing-payments/cm7071-eap-application_li.pdf.
[16] See, https://www.dataaxleusa.com.

These estimates are comparable, though about 5 - 8% higher than, my estimates of the number of households in the KEDNY/KEDLI services areas who would have been potentially eligible for EAP in 2021.

Q. Please describe the energy burden data you analyzed that provides evidence that a significant number of low-income households in the KEDNY/KEDLI service areas would not be able to afford the Companies' proposed rate increases.

A. For those low-income households in the KEDNY service area who reported a monthly utility gas bill in their ACS responses, I estimated their gas energy burden to have averaged 4.1% of their incomes, thirty-seven percent (37%) higher than the Commission's maximum 3% of household income target. About 135,000 of these households reported utility gas burdens greater than the Commission policy target of 3% of annual income. (Exhibit ___(WDY-02) at 2) I further estimated that the equivalent KEDLI service area gas energy burden averaged 5.9%, almost twice that of the Commission's policy goal. About 53,000 of these low-income households reported gas energy burdens above 3%. (Exhibit ___(WDY-02) at 3)

Finally, I estimated that the combined electric, gas and deliverable-fuel energy burden for low-income households in the KEDNY service area averaged 10.0%[17] in 2021, sixty-seven percent (67%) higher than the Commission's stated policy that an energy burden at or below 6% of income shall be the target level for all low-income households in New York.[18] (Exhibit ___(WDY-02) at 2) In the KEDLI service area, I estimated that the equivalent energy burden for these households[19] was 13.8%, one hundred thirty percent (130%) higher than the Commission's policy goal.[20] (Exhibit ___(WDY-02) at 3)

Q. How do the proposed Rate Year budgets for KEDNY/KEDLI EAP, which incorporate the Commission's modified discount calculations methodology as

[17] Includes: utility electric provided by Con Edison, utility gas service provided by KEDNY, and the cost of any deliverable fuels such as heating oil, propane, and kerosene.
[18] See, *Order Adopting Low Income Program Modifications and Directing Utility Filings*, Case 14-M-0565 at 3. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BC2F31C9-B563-4DD6-B1EA-81A830B77276}.
[19] Includes: utility electric service provided by PSEG Long Island, utility gas service provided by KEDLI, and the cost of any deliverable fuels such as heating oil, propane, and kerosene.
[20] See, *Order Adopting Low Income Program Modifications and Directing Utility Filings*, Case 14-M-0565 at 3.

directed in the August 2021 Update Order, compare to actual EAP discounts expended during 2021?

A. The KEDNY Rate Year budget of $46.90 million is $10.11 million, or 27%, higher than the $36.79 million actually expended on discounts by KEDNY during the four reportable quarters immediately following the Commission's Order (December 2020 through September 2021). The KEDLI Rate Year budget of $8.45 million is $1.59 million, or 23%, higher than the $6.86 million actually expended by KEDLI during this period. (Exhibit (WDY-01) at 34)

On a calendar year basis, the Companies' Rate Year budgets exceed 2021 discounts expended by $9.76 million (26%) for KEDNY and $1.10 million (15%) for KEDLI. Such incremental discount assistance represents 3.1% of my estimate of aggregate gas costs as reported by low-income households in the KEDNY service area and 0.9% of my estimate of aggregate gas costs as reported by low-income households in the KEDLI service area. (Exhibit (WDY-01) at 35)

Q. Were you able to determine why the gas energy burden is so much higher for KEDLI households potentially eligible for EAP?

A. Not directly, but one factor likely contributing to this disparity is that heating customers make up a much larger percentage of total residential customers in the KEDLI service area (well over 80%) than they do in the KEDNY service area (about 53%). (Exhibit ___(WDY-01) at 2) Under such circumstances, the average non-discounted bill for KEDLI service area households potentially eligible for EAP would have been about 50% higher than that for similarly situated KEDNY service area households. (Exhibit ___(WDY-02) at 3-4) Additionally. I estimate that the percentage of such households actually participating in KEDNY's EAP during the trailing twelve months ended June 30, 2023 (approximately 44%) was on average about three times higher than the equivalent participation rate for KEDLI (approximately 16%). (Exhibit ___(WDY-01) at 5)

Q. Do income differentials appear to be contributing to higher gas energy burdens in the KEDLI service area among households potentially eligible for EAP?

A. No. Based on the ACS Microdata, there does not appear to be a significant difference between my estimate of the average income of households in the KEDNY service area potentially eligible for EAP ($25,674) and similarly situated households KEDLI service area ($26,374). On the other hand, I estimate that there is a significant difference in average gas costs for these households: $1,050 for KEDNY, versus $1,559 for KEDLI. This provides support for my finding that higher undiscounted utility gas costs and lower enrollment are possible contributing factors causing the much higher gas energy burden for households potentially eligible for EAP in the KEDLI service area. (Exhibit ___(WDY-02) at 3-4)

Q. Why is this disparity important?

A. This disparity is important because it focuses attention on the more acute affordability problems faced by households potentially eligible for EAP in the KEDLI service area, both in absolute terms and relative to similarly situated households in the KEDNY service area.

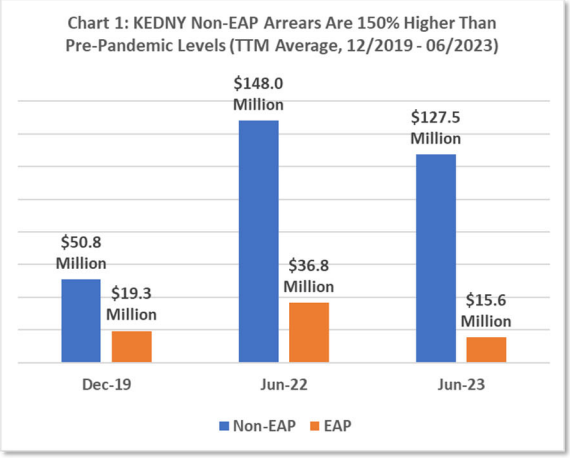
Arrears

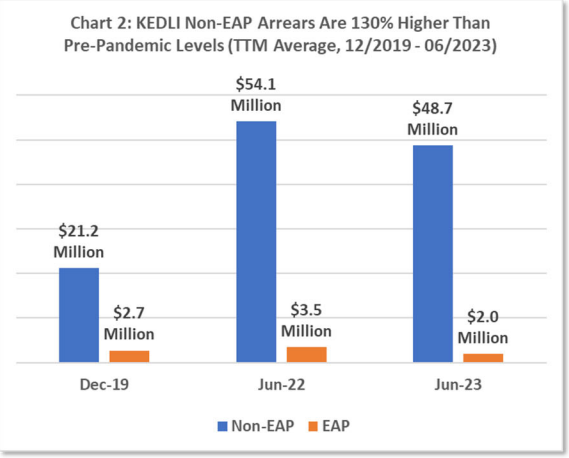
Q. Please describe the collections data you analyzed suggesting that significant numbers of low-income households in the KEDNY/KEDLI service areas who are not enrolled in EAP may not be able to afford the Companies' proposed rate increases.

A. I reviewed monthly residential arrears data reflected on Collections Activity Reports ("CARs") and EAP Reports filed by the Companies with the Commission. I found that, despite the Commission's laudable efforts in 2022 and 2023 to provide extensive arrears relief to residential customers impacted by the COVID-19 pandemic, the average number of residential customers in arrears who are not EAP participants ("Non-EAP customers"), and the amounts they owe, are still near June 2022 ("peak pandemic") levels, even after the application Phase 2 arrears relief.[21] During the twelve months ended June 2023, an average of almost 140,000 Non-EAP customers at KEDNY had arrears over 60 days old, owing an average of over $127 million. These amounts are approximately 33% and 150%

[21] See, *Order Authorizing Phase 2 Arrears Reduction Program*, Case 14-M-0565. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={3D2864A3-0BB3-4A73-AF32-C7A13EDC7DDD}.

higher than the number of customers in arrears and their amounts owed in the twelve months leading up to the Pandemic. KEDLI Non-EAP customers are in a similar situation: with about 23% more in arrears than before the pandemic, and the amounts they owe almost 130% higher than those of 2019. The arrears of Non-EAP customers of both companies was within 15% of peak pandemic levels. (Charts 1 and 2) (Exhibit ___(WDY-01) at 9-10)





Q. Are the arrears comparisons you cite for Non-EAP customers also true for EAP participants?

A. No. Low Income Reports for the EAP programs show that average arrears for EAP participants are well below pre-pandemic levels and sharply lower than pandemic highs. (Exhibit ___(WDY-01) at 9-10)

Q. What does this say about the affordability circumstances of customers not enrolled in EAP?

A. It suggests that, to the extent that these customers represent potentially eligible low-income households in the Companies' service area, many such households may already be struggling to pay their gas bills and the Companies' proposed delivery rate increases would further aggravate this situation. It also suggests that, to the extent that these such households are eligible, they would benefit from enrollment in EAP.

Q. Do the Companies agree that arrears continue to be a problem?

A. Yes. The Companies state that, post-pandemic, overall arrears continue to be a problem and that resolving them will require more collections activity. (Customer Service Panel Testimony at 63)

Energy Affordability Program Enrollment

Q. Has enrollment in the Companies' energy affordability programs increased since the last rate case?

A. KEDLI enrollment has shown incremental progress, but KEDNY participation has declined. From calendar year 2019 through June 2023 trailing four-quarter average KEDLI EAP enrollment rose from about 12,100 to 14,100 participants, representing a 16.5% increase. During the same period, average KEDNY enrollment dropped 4.5%, from 155,000 to 148,000. (Exhibit ___(WDY-01) at 33)

Q. Has the ability for customers to self-certify their eligibility in EAP helped increase enrollment?

A. The Companies' response to I/Rs PULP-2a and PULP-34 show that, for KEDLI, self-certification has helped increase EAP participation while for KEDNY, self-certification has helped offset what would otherwise be further declines in participation. (Exhibit (WDY-01) at 33)

Q. How do these enrollment levels compare to the number of households potentially eligible for EAP?

A. Compared to my estimate of the number of households in the KEDNY service area potentially eligible for EAP in 2021, an average of 44% were enrolled in the TTM ended June 2023. Approximately 190,000 of these households would also have been potentially eligible for EAP, depending on whether or not they were KEDNY customers receiving eligibility-conferring benefits per the EAP Update Order.[22]

[22] See, *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings*, Case 14-M-0565 at 20. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={1CFD4CE2-AB87-4A8C-B56B-F123366B1520}.

Compared to my estimate of the number of households in the KEDLI service area potentially eligible for EAP in 2021, an average of 16% were enrolled in EAP in the TTM ended June 2023. About 75,000 of these households would also have been potentially eligible for EAP on the same basis. (Exhibit ___(WDY-02) at 2-3)

Q. Did the Companies have findings similar to your estimates?

A. Yes. The testimony of the Customer Panel indicates that currently, 15 percent and 40 percent of potentially eligible customers are enrolled in the EAP in KEDLI and KEDNY, respectively. (Customer Panel Testimony at 33)

Q. Have the Companies proposed any initiatives to increase enrollment in the EAPs?

A. Yes. The Companies propose to hire an additional six full-time equivalents, or "FTEs" and increase funding for marketing and outreach, with the goal of:

- Developing a comprehensive strategy for serving LMI customers, researching and benchmarking the Companies' existing LMI programs and services (not limited to EAP), and supporting customer surveys and studies to track program performance (three FTEs). (Customer Panel Testimony at 25)
- Supporting the day-to-day implementation of the EAP (three FTEs). (Customer Panel Testimony at 26 - 27)
- Increasing customer awareness and understanding of the programs and services available to income-eligible customers (including EAP) to help them manage their energy bills (one FTE). (Customer Panel Testimony at 33-36)

Q. Do you support these proposals?

A. Yes. I think that the findings of the Companies and myself pertaining to the number of households in the service areas potentially eligible for EAP, warrant these additional resources. However, I believe that a greater commitment to conduct direct outreach could accelerate enrollment progress and should be incorporated in the Companies' proposals. Given the slight decrease in KEDNY enrollment and only incremental (but noteworthy)

gains at KEDLI since 2019, I believe it is necessary to take an "all-of-the-above" approach regarding efforts to provide more KEDNY/KEDLI customers with payment assistance.

Q. Do the Companies' proposals include plans for direct outreach?

A. Yes. The Panel's testimony states, at 34, that a proposal to implement an enhanced EAP marketing and outreach program includes plans to execute one-to-one communications with targeted customers through an enhanced multi-touchpoint approach, including a series of direct mail, text messages, bill inserts and e-mail communications, as well as facilitated webinars that provide an overview of available assistance programs.

Additionally, the Testimony of the Customer Panel, at 30, indicates that the addition of three Consumer Advocates by KEDNY would enable outreach to an additional 7,200 to 9,000 households, and that the addition of two full-time Consumer Advocates in KEDLI's service territory would enable outreach and assistance to an additional 4,800 to 6,000 households.

Q. What is your recommendation for direct outreach?

A. My recommendations build upon the Companies' proposals by suggesting that a highly targeted, community-based approach be taken to direct outreach, one that has the potential to yield results comparable to, and complimentary with, techniques used to increase EAP enrollment to date. Importantly, I believe that KEDNY/KEDLI outreach should also include referral of customers to their electric utilities for electric EAP enrollment.

Q. Please describe this approach.

A. The Companies' have at least three important sources of data that could be leveraged to conduct a highly targeted, community-based effort to boost EAP enrollment. These are:

1. <u>Purchased Name and Address Data</u>

   As discussed earlier, KEDNY and KEDLI used purchased name and address data including presumed income level and household size to identify the "actual" and "potential" number of customers eligible for EAP enrollment.

2. <u>Indicators of Past Financial Need</u>

The Companies also have the capability to identify potentially eligible customers based on indicators of past financial need in their utility account histories, an exercise that was recently conducted as part of the justification for providing Phase 2 arrears relief for Non-EAP customers in Case 14-M-0565.[23]

3. Disadvantaged Communities ("DACs") Data on Energy Burdens

Finally, by using Disadvantaged Communities ("DACs") data provided with the 2023 final Scoping Plan of the New York State Climate Action Council ("CAC"),[24] KEDNY and KEDLI have the ability to identify the statewide percentile ranking of average energy burdens of each census tract in their service areas. This data is available for both census tracts designated as DACs, and for those not so designated. For example, in the Borough of Brooklyn, the CAC identifies seventy-nine (79) census tracts with average energy burdens higher than 90% of census tracts statewide, with fifty-three (53) tracts designated as DACs and twenty-six (26) not so designated.[25]

Q. Do you equate "census tracts" with "communities"?

A. Yes. This is consistent with the methodology used by the Climate Action Council in its designation of disadvantaged communities; the determination of which is made at a census tract level. Therefore, for purposes of this discussion, I will refer to "census tracts" and "communities" interchangeably.

Q. How many households are there in census tracts/communities?

A. Census tracts often have only one to two thousand households. For example, the average census tract in Brooklyn (Kings County) has about 1,400 households.[26] To put this in

[23] See, *Phase 2 Arrears Report*, Case 14-M-0565, at 15. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={9133934D-B4E6-414C-BB80-A8AC47FEF0D7}.
[24] See, *Scoping Plan*, NYS Climate Action Council. Available at: https://climate.ny.gov/-/media/Project/Climate/Files/NYS-Climate-Action-Council-Final-Scoping-Plan-2022.pdf.
[25] See, *Final Disadvantaged Communities (DAC) 2023*, DATA.NY.GOV. Available at: https://data.ny.gov/Energy-Environment/Final-Disadvantaged-Communities-DAC-2023/2e6c-s6fp.
[26] *Id*.

perspective, there are approximately one million households and fifty zip codes in Brooklyn, or about 20,000 households per zip code.

Q. How would the three data sources you cited be used for EAP direct outreach in these communities?

A. They would be used to identify customers by census tract who are potentially eligible for EAP. The Companies' responses to I/Rs PULP-54 through PULP-56 indicate that they do not currently maintain this data (Exhibit (WDY-04) at 91 - 93), however, many commercial data providers including Data Axle offer the option of including census tract information in the residential address datasets they sell. (Exhibit ___(WDY-01) at 36) Identifying census tracts of residential customers would be invaluable because it would facilitate the targeting of direct outreach to those tracts falling within the highest energy burden percentiles with the lowest rates of EAP enrollment. Therefore, I recommend that the Companies obtain such census tract data so that they can conduct direct EAP outreach targeting both DAC and Non-DAC tracts in their service areas. (The response to I/R PULP-59, which requested cost information from the Companies pertaining to their purchase of data from Data Axle, was not available in time for the filing of my testimony. I expect the response to this I/R to be available for my rebuttal testimony, and that it will suggest whether or not the Companies would have to incur significant incremental costs to add customer census tract data to the original dataset.)

Q. Which communities should receive the highest priority for EAP outreach?

A. Communities with the most severe energy burdens and lowest EAP participation rates should receive the highest priority. Within census tracts meeting these criteria, those designated as DACs should then be prioritized. I believe this recommendation is consistent with the Companies' proposal to implement an enhanced marketing and outreach program to engage low- to moderate-income ("LMI") customers to participate in bill assistance programs specifically, but to also coordinate efforts with its proposed Disadvantaged Communities outreach pilot to "holistically approach outreach to LMI customers and customers in Disadvantaged Communities regarding both energy efficiency and bill assistance." (Customer Panel Testimony at 102 – 103)

Q. Once potentially EAP eligible KEDNY/KEDLI customers in high energy burden census tracts are identified, how can direct outreach be further targeted to reach them?

A. Further targeting can be enabled by analyzing Non-EAP account histories for indications of past or current financial need, such as receipt of HEAP and/or 131-S grants, prior participation in EAP, abeyances, UGV/DVC, or DPAs or other payment arrangements. Customers among this cohort could be enrolled in large numbers to the extent that they are eligible because either they or another household member receive an EAP eligibility-conferring benefit. This may be especially true since outreach would be focused at the community level, where it might give rise to more communication between community members about EAP, thereby heightening awareness further and accelerating self-certification based enrollment.

Q. Are the Companies required to maintain self-certification portals?

A. Yes. The August, 2021 Update Order directed the State's major electric and gas utilities to develop automated applications for enrollment in EAP. These applications were rolled out in early-mid 2022. The portals for each company can be found as follows:

KEDNY:

https://www.nationalgridus.com/NY-Home/Bill-Help/Energy-Affordability-Program-Application?regionkey=nymetro&customertype=home

KEDLI:

https://www.nationalgridus.com/Long-Island-NY-Home/Bill-Help/Energy-Affordability-Program-Application?regionkey=nylongisland&customertype=home

Q. Has EAP enrollment through self-certification increased since the Commission's August 2021 Order?

A. Yes. On average, almost three times as many KEDNY customers and twice as many KEDLI customers achieved enrollment through self-certification by June, 2023 when

compared to September, 2021. (Exhibit ___(WDY-01) at 33) I believe that a highly targeted, community-based direct outreach campaign as I have described could further accelerate this progress while accomplishing important objectives of the CLCPA — especially if accompanied by referral of KEDNY/KEDLI customers to Con Edison and PSEG Long Island for electric EAP enrollment through self-certification.

Q. Do you support the Companies' proposal to implement an EAP Enrollment EAM, as described in the testimony of the CLCPA Panel?

A. Given the magnitude of the rate increases proposed by the Companies in the context of the affordability challenges I have described already confronting many low-income households in the KEDNY/KEDLI service areas, I do not support the inclusion of any EAMs or other incentive award mechanisms in these proceedings. With that said, had this been an environment in which it might have been possible for me to even consider supporting EAMs, I would have made the following (non-exhaustive) observations regarding the proposed Enrollment EAM:

1. As proposed, its targets are based on overall enrollment, a measure that is not completely controllable through the actions of the Companies. For KEDNY especially, enrollment is heavily dependent on file matching with the New York City Human Resources Administration ("HRA"). I believe that rates of enrollment due to self-certification and manual enrollment by KEDNY/KEDLI personnel would be much better measures of achievements by the Companies toward the goal of increased EAP participation. To a certain degree I also feel this is true for automatic enrollment due to receipt of HEAP, since the Companies can have an effect on this method of enrollment by increasing awareness of HEAP. However, HEAP availability is also subject to factors beyond company control, most notably the possibility that HEAP funds will be exhausted before all applications are processed.
2. As proposed, it is not designed to ensure that target enrollment levels are <u>sustained</u> before awarding further incentive amounts. For example, in a situation in which EAP was 10,000 enrollment in the test year and increased to 10,400 in the Rate Year, under the Companies' proposal the minimum target for enrollment to receive an incentive award would be achieved. Then, in the following year, if enrollment declined to 9,600,

the minimum target would not be achieved and there would be no award. Finally, if enrollment increased to 10,000 in the year after that, the minimum target would again have been achieved and an incentive awarded. The result over three years would have been that incentives would have been awarded twice, while EAP enrollment would not have changed during the period. (CLCPA Panel Testimony at 64 – 68)

3. There is no risk to the Companies should their performance be unsatisfactory. This is particularly significant in that the Companies have requested additional resources to improve the administration of EAP and increase its enrollment. Having supported those proposals, I would not have been able to accept a "one-way" incentive mechanism instead of one that was symmetrically designed (with positive and negative revenue adjustments) to reward achievement beyond normal expectations and to discourage poor performance.

4. The targets are not sufficiently challenging because they don't take into consideration the requirements the Commission outlined to ensure that the utilities are conducting outreach and education about the EAP and facilitating self-certification. Any targets set for an EAM such as this would have to build in assumptions that these Commission ordered actions would have some positive effect on EAP enrollment levels themselves and that targets for such an EAP EAM would need to set for achievement over and above those expectations.

Q. Do you have an alternative proposal?

A. Yes. I recommend that a customer service quality metric ("CSQM") be adopted that, on a monthly basis, tracks:

- EAP self-certifications;
- Manual enrollments by the Companies;
- Automatic enrollment due to receipt of HEAP, and;
- Referrals to customer electric utility EAP self-certification portals.

I propose that the base year for this metric be the twelve months ending March 31, 2024. The Companies would file quarterly reports in these proceedings and Case 14-M-0565 tracking the monthly activity for each of these categories, along with their trailing twelve-

month averages. To help promote a better, more "real-time" understanding of what is working, or not working, pertaining to EAP enrollment efforts, such reports would also include narrative explanations of company activities during the period and their assessment of the reasons for any change in monthly averages in any category which exceed two standard deviations from the average of the same month in the previous year.

Expanded Discount Program ("EDP")

Q. Please describe the Expanded Discount Program ("EDP") adopted in the 2023 – 2024 New York State Budget.

A. The 2023-2024 New York State budget included a provision directing the EAP Working Group in Cases 14-M-0565 and 23-M-0298 to establish a new, Expanded Discount Program ("EDP") for residential electric utility customers who do not qualify for EAP but whose income is below the state median income ("SMI").[27] Any implementation plan will be subject to Commission Order in those proceedings. As envisioned, KEDNY/KEDLI customers would not be eligible through their gas utility, but the direct outreach initiatives I have described above could indirectly benefit them by making them aware of potential EDP eligibility through their electric utility accounts with Con Edison or PSEG Long Island. I therefore propose that the outreach I have recommended also include referring customers to their electric utilities to apply for EDP, and that the CSQM I proposed above include a component for tracking such referrals.

Return On Equity ("ROE")

Q. Do you think that a settled outcome that includes an authorized return on equity ("ROE") fixed for the term of any multi-year rate plan in these proceedings, if accompanied by an earnings sharing mechanism ("ESM"), is likely to be in the public interest?

A. No. Based on evidence from prior rate cases, I believe that it is more likely than not that such a settlement would not be in the public interest because it would likely impose

[27] See, *Governor Hochul Announces Highlights of Historic FY 2024 State Budget*, New York State Division of the Budget. Available at: https://www.budget.ny.gov/pubs/press/2023/fy24-enacted-budget-highlights.html.

delivery rates on KEDNY/KEDLI customers already confronted by challenges to the affordability of their utility bills that would be derived from an authorized ROE that was not updated annually to account for changes in macroeconomic and investor expectations affecting the Companies' cost of capital. Such changes can be readily discerned utilizing the Department of Public Service ("DPS" or the "Department") Staff's "Generic Finance Model" ("GFM") in the rate cases of other utilities conducted subsequent to those in which fixed ROEs are set for any given utility. ROE data that I analyzed from twenty-nine electric, gas and steam rate cases from 2008 through 2023 indicate that, net of earnings sharing, KEDNY/KEDLI customers were burdened in two of the last three rate cases by delivery rates that incorporated fixed ROEs exceeding GFM costs of equity produced in testimony in subsequent rate cases, costing them up to an estimated $485 million in unnecessary, excessive delivery charges since 2008. (Chart 3)

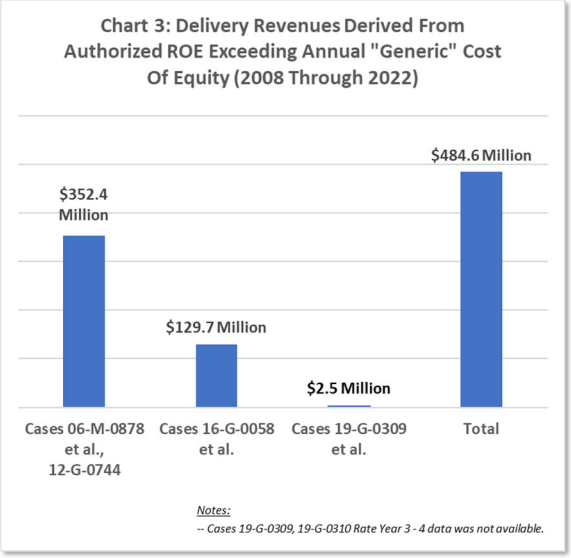


Exhibit ___(WDY-03) at 2 - 9

Over the fifteen-year course of three rate plans, KEDNY/KEDLI ratepayers incurred a total of up to $485 million more in the cost of their gas service than they would have if these plans had provided for a check on the unrealistic expectations for cost of equity inherent in the proposed ROEs of JP signatory parties in these proceedings. And, significantly, since systematic risks such as the COVID-19 pandemic, higher inflation and rising interest rates have recently been priced into Staff's economic and investment

expectations,[28] I believe it is much more likely that ratepayers would experience outcomes from 2024 – 2027 comparable to those from 2008 – 2019 than to 2020 – 2022.[29]

Q. Why do you believe that continuing this practice is not likely to be in the public interest?

A. I consider the primary flaw of this framework to be that it establishes fixed ROEs for entire rate terms without incorporating any update mechanism to account for changes in macroeconomic and investment expectations that impact the Companies' cost of equity as realized during the rate plan. For KEDNY/KEDLI, rate plans have tended to comprise anywhere from four to nine years. In the cases associated with the 2006 National Grid merger case (Cases 06-M-0878, 06-G-1185 and 06-G-1186), for example, a fixed ROE of 9.8% was authorized for KEDNY for five years, then fixed at 9.4% for another four years. The authorized ROE for KEDLI, which was also set at 9.8% in these cases, was never reset and was effective for nine years, from 2007 through 2016. Subsequent proceedings also resulted in fixed ROEs, with a three-year rate plan (plus a "stub period") established in the 2016 cases and a four-year rate plan in the 2019 cases.

Q. Why is this a problem?

A. Macroeconomic and utility sector investment considerations, as measured by expectations for gross domestic product, inflation, stock prices, dividends, interest rates, the possibility of recession, and other factors, changed significantly during the years encompassed by each of these rate plans. Reflecting these changes, DPS Staff's "Generic Finance Model" ("GFM") in rate cases from 2008 through 2023 produced average costs of equity ("GFM ROE") that were lower than authorized KEDNY/KEDLI ROEs in all but four of fifteen-years. In ten of these years, authorized ROEs were more than six-tenths of one percent (60 "basis points" or "bps") higher than the average GFM ROE output produced in subsequent rate cases. However, the most that average GFM ROE output ever exceeded authorized

[28] See, *Staff Finance Panel Testimony*, Cases 22-E-0317 et al., at 121-123. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BEC0ACC1-2919-4EE0-A5DC-90FE9EBC07CD}.

[29] Due to the proximity of timing of filing of the Companies' computation of its rate of return on common equity for the rate year ended March 31, 2023 ("RY3") with the September 1, 2023 filing date of my testimony in these proceedings, I was unable to incorporate such results in my findings. I expect to be able to update my findings to include RY3 impacts for rebuttal testimony.

ROE was eleven (11) bps or 0.11%, which stands in contrast to the last four years of KEDLI Case 06-G-1186, during which its authorized ROE exceeded one full percentage point (1% or 100 bps) of average GFM output in subsequent cases. (Exhibit ___(WDY-03 at 3 - 9)

Q. Why did you look at the GFM ROE output in subsequent cases in order to arrive at your findings?

A. As indicated previously, changes in macroeconomic and investor expectations affecting the Companies' cost of capital can be readily discerned utilizing output from DPS Staff's Generic Finance Model. The model DPS uses is based on a recommended decision in Case 91-M-0509, an approach that still guides Commission policy pertaining to utility cost of capital.[30] Staff's consistent application of this methodology, adapted over time, in its direct testimony in rate cases, provides an opportunity to analyze the implicit assumptions underlying the fixed ROEs established in successive KEDNY/KEDLI rate cases in relation to the changing expectations of investors as they actually unfolded during the rate years comprising these plans.

Q. What was your conclusion based upon your back-testing of authorized KEDNY/KEDLI ROEs compared to the GFM ROE produced in direct testimony by Staff in subsequent cases?

A. I concluded that, taken as a whole, KEDNY/KEDLI delivery rates from 2008-2023 were derived from authorized ROEs that greatly exceeded the developing expectations for macroeconomic and utility sector factors impacting the Companies' cost of equity realized during these years. Yet, except for one KEDNY ROE update in 2012 (Exhibit ___(WDY-03) at 5), there were no adjustments of authorized ROEs during these rate plans. The result was that KEDNY/KEDLI ratepayers incurred up to $485 million more in the cost of their gas service than they would have if there had been such ratepayer protections in place to account for changes in macroeconomic and investor expectations during the rate plan. This poor outcome for customers was experienced in Cases 06-M-0744, 12-G-0744, 16-G0058 and 16-G-0059. Only during the unprecedented economic and financial market fallout

[30] See, *Recommended Decision*, 7/18/1994, Case 91-M-0509 (Proceeding on Motion of the Commission to Consider Financial Regulatory Policies for New York State Utilities), at 31.

associated with the onset and the aftermath of the COVID-19 Pandemic did this situation abate, as reflected for Cases 19-G-0309 et al. (Chart 3) (Exhibit ___(WDY-03) at 3 – 9)

Q. Why didn't your analysis account for all of the authorized ROEs resulting from multi-year agreements that were higher than ROEs initially recommended by Staff?

A. My intent was to compare the Companies' authorized ROEs to the objective results of the GFM; it was not to compare them to those of other settled cases. Indeed, my analysis seeks to highlight the problem I find inherent in this setting of fixed authorized ROEs in multi-year settlements. Comparing authorized ROEs in multi-year settlements with each other would have served no purpose in this regard.

Q. Did you consider the effect of earnings sharing mechanisms ("ESMs") as mitigators of these excess delivery charges?

A. Yes. I deducted any excess earnings shared with customers in arriving at my conclusions. Earnings shared with customers amounted to $91 million for the period. (Exhibit ___(WDY-03) at 3-9)

Q. Did you think $91 million was sufficient compensation for KEDNY/KEDLI customers paying in rates amounts derived from earnings exceeding the Companies' authorized ROEs?

A. No. The $91 million shared with customers represented just 34% of the $267 million of earnings before sharing derived from actual ROE in excess of GFM output from 2008 through 2023. I do not consider this to be justification for allowing the Companies to have rates set based on fixed ROEs in excess of GFM output.

Q. Do you think that an ESM in these proceedings will be an effective mechanism that mitigates any impact of earnings in excess of GFM output?

A. No. It is unlikely that any ESM in these proceedings will provide equitable sharing in that it will likely continue to set a "dead band" above the authorized ROE before any sharing occurs. Since 2008, dead bands have ranged from 0.7% (70 bps) above authorized ROE in Cases 06-M-0878 et al. to 0.5% (50 bps) in Cases 16-G-0058 et al. and 19-G-0309 et al. Only in KEDNY Case 12-G-0744 was the practice of imposing a dead band before sharing

eliminated. However, the 9.4% authorized ROE in that case was itself at least 0.7% - 0.9% (70-90 bps) higher than GFM ROE output for each of the four rate years of the rate plan (Exhibit ___(WDY-03) at 5). This observation alone is evidence that ESMs do nothing to address the fundamental flaw of settled rate plans which is that authorized ROEs are established that are not subject to adjustment to account for changes in macroeconomic and investment expectations affecting utility cost of equity during the individual rate years of these plans.

Q. For the period you analyzed, what was the breakdown of sharing between shareholders and customers of the earnings derived from actual returns exceeding authorized returns?

A. In the five years in which KEDNY actual earnings exceeding authorized earnings from 2008 through 2023, I found that out of a total of $188.4 million of such earnings, $108.7 million, or 58% were retained by shareholders, while only $79.7 million, or 42% were shared with ratepayers. (Exhibit ___(WDY-03) at 3) I also observed that, in the seven years that KEDLI experienced excess earnings during the same period, ratepayers shared just $10.9 million, or 14%, of such earnings; while shareholders retained $67.7 million, or 86%. (Exhibit ___(WDY-03) at 4, 7, 9)

Q. Why did you exclude from your analysis years in which the Companies did not achieve their authorized ROEs?

A. My analysis focused on all years in which there were earnings to share, with the intention of evaluating, on a comprehensive basis, how effective the ESMs in place from 2008 through 2022 were in providing equitable sharing of excess returns between shareholders and ratepayers in such situations in which they occurred. For this reason, it did not include years in which the Companies "underearned".

Q. Don't you think it would have been appropriate to include "underearning" years in your ESM analysis?

A. No. Each of the Companies' successive rate plans have specified that the test for overearning is to be conducted annually, not cumulatively. If it had been the Commission's intention to require the sharing of earnings with ratepayers only to the extent that the

Companies had achieved net overearnings over the course of a rate plan or longer, I believe it would have directed that ESMs be designed reflecting that intention. My analysis captures all situations in which overearning occurred, in line with the annual test for overearning directed in each rate plan.

Q. Wouldn't a "dead band" provide an incentive for the Companies to pursue operational efficiencies that would ultimately benefit ratepayers?

A. In my opinion, such an incentive should not be necessary, as that incentive should be addressed by the authorized ROE which, as the Commission stated in the 2013 Con Edison case, is designed to provide the Company the opportunity to recover the cost of funds supplied to it by investors that is adequate, assuming efficient and economical management by the Companies.[31]

Q. In these proceedings, are you recommending an alternative to the customary framework for establishing authorized return on equity in KEDNY/KEDLI multi-year settled rate cases?

A. Yes. I propose that any multi-year plan in these proceedings include the following:

- A Staff update of its testimonial GFM ROE as of the month immediately preceding the date of any joint proposal, together with an analysis by Staff of all factors affecting KEDNY/KEDLI's ability to maintain their current credit ratings and to raise capital most economically. Such findings may warrant recommended ROEs that depart from results produced solely by the GFM; and/or adjustments to recommended equity ratios;

- An ROE and equity ratio resulting from Staff's above updates set as those applicable for the Rate Year;

- An ROE update process for each year of the proposed rate plan. Such an update would be conducted annually through an evidentiary process that would include the opportunity for all parties to submit interrogatories, file witness testimony and

[31] See, *Order Approving Electric, Gas and Steam Rate Plans in Accord With Joint Proposal*, Cases 13-E-0030 et al, at 9. Available at: https://documents.dps.ny.gov/public/common/viewdoc.aspx?DocRedId={1714A09D-088F-4343-DF91-8DEA3685A614}.

conduct cross-examination.

- For each annual update, a Staff calculated GFM-based ROE generated as close to the effective date of the applicable rate year as practicable, together with an analysis by Staff of all factors affecting KEDNY/KEDLI's ability to maintain their current credit ratings and to raise capital most economically. Such findings may warrant recommended ROEs that depart from results produced solely by the GFM; and/or adjustments to recommended equity ratios. This result, subject to the evidentiary process, would be the authorized ROE set for each subsequent rate year;

- An annual "true-up" mechanism, based upon an analysis of *average* GFM ROE inputs realized during the most recently completed rate year (adjusted for Company-specific departures by Staff), with consequent delivery revenue impacts caused by deviations between initial/update ROEs and "true-up" ROEs returned to or recovered from ratepayers through a surcredit/surcharge mechanism; and

- Such other steps the Commission deems necessary to ensure that ratepayers pay in rates only for returns that are aligned with changing macroeconomic and investment expectations affecting KEDNY/KEDLI's cost of equity during each rate year, and which allow KEDNY/KEDLI to maintain their current credit ratings and to raise capital most economically.

- No earnings sharing mechanism be included in the rate plan.

Q. Has an annual ROE updating mechanism been proposed in any past proceedings before the Public Service Commission?

A. Yes. I note that the recommended decision ("RD") in Case 91-M-0509,[32] which continues to guide Commission policy pertaining to the setting of authorized utility return on equity in New York, included a recommendation that the Commission adopt an annual proceeding framework for determining ROE:

> In general, therefore, it is recommended that the Commission institute an annual

[32] See, *Recommended Decision*, 7/18/1994, Case 91-M-0509 (Proceeding on Motion of the Commission to Consider Financial Regulatory Policies for New York State Utilities), at 31.

rate of return proceeding for each industry group, at which time, using proxy group analysis and the specific methods discussed below, an annual return on equity will be determined for each.

Q. Would an annual ROE update process address "regulatory lag"?

A. Yes. It would address "regulatory lag" annually; as opposed to the current framework for setting authorized ROE which establishes a fixed ROE for the entire rate term and provides only an inadequate, inequitable ESM as a means of "sharing" the benefits of realized ROEs higher than those authorized by the Commission.

Q. Don't you think that it is as likely that the use of an annual ROE update process would result in rate increases as it would in rate decreases?

A. That does not appear to be likely based on the historical data I analyzed from 2009 through 2022. While there was some upward variability in GFM ROE in five of those years that would have led to rate increases, my analysis still shows that in three out of those five years (2015, 2018 and 2020), such increases would have been more than offset by the savings achieved by not having fixed authorized ROEs. (Exhibit ___(WDY-03) at 2)

Q. Would annual ROE updates be based solely on GFM ROE output?

A. No. In my view, the update process should include an analysis by Staff of all factors affecting KEDNY/KEDLI's ability to maintain their current credit ratings and to raise capital most economically. These considerations may warrant, on a case-by-case basis, recommended ROEs that depart from results produced solely by the GFM; and/or adjustments to recommended equity ratios.

Q. Could an annual ROE update process make it less likely that parties would agree to multi-year plans?

A. It is possible, given the multitude of terms and conditions inherent in comprehensive settlements in multi-year plans. However, given the low level of annual rate case allowances proposed by the Revenue Requirements Panel (about $358,000 for KEDNY and $343,000 for KEDLI) in relation to the potential savings to ratepayers that could be achieved by an annual ROE update process from 2008 through 2022 (up to $485 million),

I believe that the potential benefits to ratepayers would far outweigh the possible cost impacts of more frequent rate cases. (Exhibit_____(RRP-3CU), Schedule 29 - Corrections and Updates)

Q. How would such an annual ROE updating process address the fact that utilities in New York, including KEDNY and KEDLI, very often don't even earn their authorized ROE, and that updating ROEs could further erode their operating performance?

A. Authorized ROE is only one of the factors contributing to operating performance. In my opinion, it should have little to do with the separate rate case process of setting allowances for recovery of operating costs. Staff recognized the importance of this separation of revenue requirement components in its Finance Panel testimony in the most recent NYSEG/RG&E cases:

> In the context of Commission rate proceedings, the revenue requirement is the dollar amount required by a company to provide service during a rate year. It is the amount that will allow the company to recover all of its reasonably expected operating costs, including taxes and depreciation. *In addition*, the revenue requirement includes a fair return that will allow the utility the opportunity to recover the cost of funds supplied to it by investors.[33] (*Emphasis added*)

The Commission also recognized the significance of this separation (in particular noting the importance of efficient and economic management the utilities it regulates) in Con Edison Cases 13-E-0030 et al:[34]

> In determining an allowance in these cases for Con Edison's cost of common equity (also known as return on equity or "ROE"), the Commission must make a revenue requirement allowance that will *allow the Company the opportunity to recover the cost of funds supplied to it by investors that is adequate for Con*

[33] See, *Staff Finance Panel Testimony*, Cases 22-E-0317 et al., at 9. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BEC0ACC1-2919-4EE0-A5DC-90FE9EBC07CD}.

[34] See, *Order Approving Electric, Gas and Steam Rate Plans in Accord With Joint Proposal*, Cases 13-E-0030 et al, at 9. Available at: https://documents.dps.ny.gov/public/common/viewdoc.aspx?DocRedId={1714A09D-088F-4343-DF91-8DEA3685A614}.

> *Edison, assuming efficient and economical management by the Company*, to maintain and support its credit, to allow it to raise capital, and to raise capital at a rate that is generally equal to that being made on other investments in other business undertakings which are attended by corresponding risks and uncertainties. (*Emphasis added*)

Q. Can you cite an instance in which management does not appear to have been efficient and/or economical that contributed to much lower ROEs for either KEDNY or KEDLI?

Yes. Beginning in calendar year 2016, the component of KEDNY's operations and maintenance expense pertaining to the installation and replacement of service valves began increasing significantly. These costs related to a ramp-up of work that needed to be performed to meet a 2020 deadline for compliance with New York City Local Law 30 of 1982 requiring that outside gas service line valves or other outside emergency shut-off devices be installed in every gas service pipe outside the buildings in which they were located.[35] In its testimony in Case 16-G-0059, KEDNY acknowledged the need to accelerate work to meet Local Law 30 requirements, and requested substantially higher operations and maintenance ("O&M") allowances to address escalating costs it forecast it would incur to do so.[36] In its filing, KEDNY also acknowledged that:[37]

> For years, the Company has primarily installed external service valves where it could leverage opportunities in coordination with other projects (e.g., main or service replacements). In many years, the Company deferred Local Law 30 work to focus on projects that addressed more pressing operational needs. As the Local Law 30 compliance deadline approaches, the Company must now install thousands of service valves over the next four years. Presently, KEDNY has approximately 67,000 low pressure services in Brooklyn, Queens and

[35] See, *Reference Standards RS-16 (Plumbing and Gas Piping)*, NYC.gov, at 276. Available at: https://www.nyc.gov/html/dob/downloads/bldgs_code/bcrs16.pdf.
[36] See, *Testimony of Gas Infrastructure and Operations Panel*, Case 16-G-0059 at 83. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={527BBE7E-FBFC-47A7-A05C-43F4830FF7F8}.
[37] *Id*., at 63

Staten Island that do not have an exterior gas service valve.

In its Gas Infrastructure Panel testimony in the same case, the City of New York observed, based on the Company's testimony, that:[38]

> It appears that the Company delayed the installation of Local Law 30 shutoff valves and, thus, is forced now to catch up in order to meet the mandated 2020 program completion date. From an estimated budget of $7.3 million in the test year, the 2019 costs are estimated at almost $17 million, more than doubling. Some of this cost may have been avoidable since the Company had many years to comply with the law.
>
> KEDNY's delays in addressing this requirement, whether due to poor planning or management decisions to "stay out" of a formal rate case, should not now result in an excessive burden for current ratepayers. The rate of shutoff valves that must now be installed in the program are significantly higher than in past years. As an example, in years 2006 through 2013, an annual average of just over 3,900 valves were installed. In the proposed budget, an average of over 11,000 valves are proposed to be installed, at a per-unit cost that will probably be higher than in the past. While the City obviously supports compliance with the Local Law, the fact is that the Company deferred that compliance, perhaps to keep costs down when the Company was in an over-earning position. In any event, delaying the program did not benefit ratepayers but rather the shareholders.

Q. Were you able to determine whether any additional allowance for these expenses was provided in the 2016 case?

[38] See, *Prepared Direct Testimony of Gas Infrastructure Panel (KEDNY) on Behalf of the City of New York*, Case 16-G-0059, at 39 -40. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={ADA18036-B5AB-443D-9212-DC739BE16D05}.

A. In my review of the 2016 Joint Proposal[39] and Order[40] in Case 16-G-0059, it did not appear that any significant additional allowance was provided, an observation that is supported by the testimony of KEDNY's Gas Infrastructure and Operations Panel in Case 19-G-0309:[41]

> Local Law 30 is a New York City Building Code that requires every gas service line in the City to have a gas service valve or other emergency shut-off device installed outside for all gas services. Over the past three years, the Company incurred tens of millions of dollars above the current rate plan allowance to achieve significant completion of this work.

Q. Do escalating costs related to New York City Local Law 30 compliance appear to have impacted KEDNY's actual return on equity in a more significant way than the lowering of its authorized ROE to 9.4% from 9.8% in Case 12-G-0544 and to 9.0% from 9.4% in Case 16-G-0059?

A. Yes. The ramp-up in activity to meet Local Law 30 compliance requirements happened to coincide with the filing of Case 16-G-0059 and the rate years encompassing 2017 through 2020 that resulted. Case 12-G-0544, which impacted 2016 actual ROE, had resulted in the lowering of KEDNY authorized ROE from 9.8% to 9.4% and the sharing of excess earnings without imposing a dead band. However the effect on operating results of the lower ROE was more than offset by an increase in the Company's authorized equity ratio, from 45% to 48%, having a net beneficial effect on returns of about $2.9 million for 2016; whereas after-tax Local Law 30 compliance costs for 2016 amounted to $7.8 million, compared to an average of about $105,000 annually from 2013 through 2015.

In Case 16-G-0059, KEDNY's authorized ROE was further lowered to 9.0%. This time, there was a net negative impact on actual ROE. But while it might seem obvious that the reduced authorized ROE would have been a primary driver of the more than 200 basis point

[39] See, *Joint Proposal*, Case 16-G-0059. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={F09F34C1-BE73-4F79-914F-F6019DD060F1}.
[40] See, *Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans*, Case 16-G-0059. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={6E189404-3533-4B23-8292-687DC884CA88}.
[41] See, *Direct Testimony of Gas Infrastructure and Operations Panel*, Case 19-G-0309 at 74. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={6470A2F3-84A8-4585-B68E-82E9D90D5EC2}.

deterioration in KEDNY average actual ROE from 2016 through 2019 of 7.93% versus 5.76% from 2013 through 2015 (Exhibit ___(WDY-03) at 5 – 6), as Chart 4 shows, ballooning costs related to Local Law 30 compliance appear to have been a much more significant driver of deteriorating actual returns beginning in 2016, while the effect of lower authorized ROEs had much less of an impact. (Exhibit ___(WDY-03) at 5 - 6; Exhibit ___(WDY-04) at 41 – 43, 62)

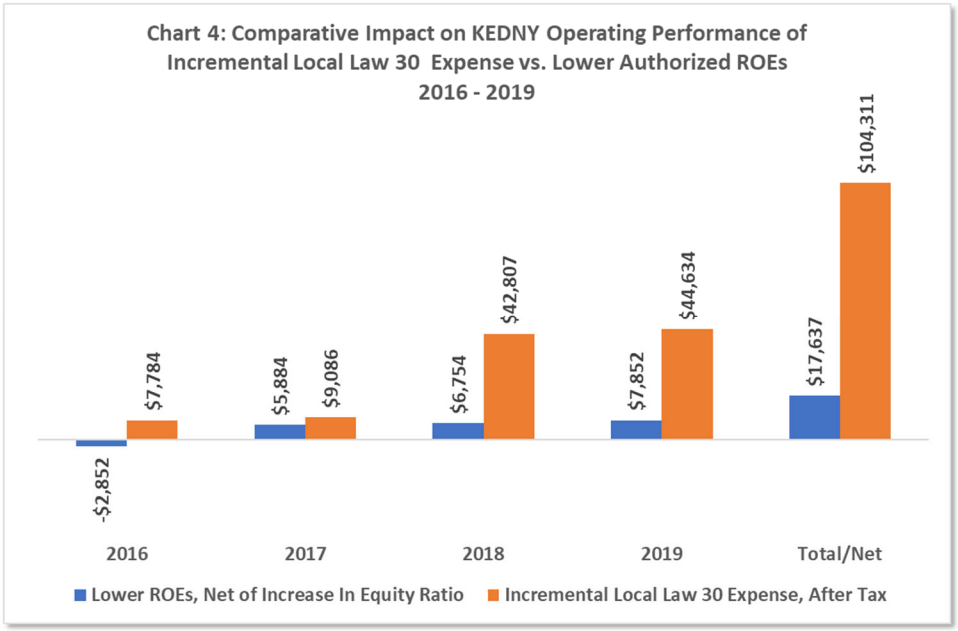


Exhibit ___(WDY-01) at 5

After tax expenses incurred annually by KEDNY to comply with the 2020 deadline set for Local Law 30 totaled over $104 million by 2019, while lower authorized ROE cost KEDNY only about $18 million. Local Law 30 costs had nothing to do with the impact of lowering of ROEs in Cases 12-G-0544 and 16-G-0059 and the two should not be conflated. I conclude, therefore, that the deterioration of actual ROEs from 2016 – 2019 is far more likely to have been caused, at least in part, by expenses related to Local Law 30 compliance than by lower authorized ROEs. (Exhibit ___(WDY-03) at 5 - 6; Exhibit ___(WDY-04) at 41 – 43, 62)

Q. Why do you think it is important to address the consequences of KEDNY's delayed work related to Local Law 30 compliance in the context of your observation that the

Company's authorized ROEs exceeded Staff's GFM ROE output in other rate case from 2013 through 2019?

A. In my view, it is important to avoid conflating 1) comparisons of authorized ROE with subsequent changes in macroeconomic and investment expectations that have impacts on costs of capital; and 2) analyses of management decisions and actions that have impacts on actual ROE. It would be inappropriate to argue that KEDNY should not be subject to annual updates in its authorized ROE because it frequently does not achieve such ROEs, and that updating the authorized ROE would make the situation worse, without at least considering why KEDNY doesn't achieve such ROEs in the first place. Here, the City of New York's observations with regard to Local Law 30 compliance are insightful, in light of the Commission's observation in Cases 13-E-0030 et al. that it must make revenue requirement allowances that allow the *opportunity* to adequately recover the cost of funds supplied by investors, *assuming efficient and economical management by the Company*.[42]

Q. Does the Commission have tools to ensure that utilities do have the opportunity to earn their authorized ROEs when they are managed efficiently and economically but incur expenses that are beyond their ability to forecast or control?

A. Yes. As DPS Staff observed in the most recent Con Edison rate case,[43] the Commission has tools at its disposal to mitigate the impact of business risks on KEDNY/KEDLI's earnings and cash flow:

> New York State regulation offers a myriad of benefits to the utilities it regulates. In addition to fully forecasted test years and the ability to earn their allowed return, New York regulation also allows for risk-reducing deferral and true-up mechanisms, a full pass through of commodity costs to ratepayers and an approach to setting ROEs that is very transparent and predictable. These attributes of New York State regulation reduce the risk borne by the owners of

[42] See, *Order Approving Electric, Gas and Steam Rate Plans in Accord With Joint Proposal*, Cases 13-E-0030 et al, at 9. Available at: https://documents.dps.ny.gov/public/common/viewdoc.aspx?DocRedId={1714A09D-088F-4343-DF91-8DEA3685A614}.

[43] See, *Staff Finance Panel Testimony*, Cases 22-E-0064 et al., at 135. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefID+{D445891E-73E9-489B-82E7-3D4974886BF3}. https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={D445891E-73E9-489B-82E7-3D4974886BF3}

New York utility equity, thereby reducing the return required and the cost of equity. These risk-reducing regulatory mechanisms are not employed in all jurisdictions, and those jurisdictions that use them may not do so to the same extent as New York.

Q. Are there specific risk-reducing regulatory mechanisms that the Commission has historically provided KEDNY/KEDLI to address the increased business risks associated with their multi-year rate plans?

A. Yes, the Companies have historically been provided numerous risk mitigators in their rate plans. Most recently, in the 2019 cases, the Joint Proposal included, but was not limited to, about seventy (70) mitigators each for KEDNY and KEDLI across a broad swath of business areas used to track and reconcile expenses and associated revenues to be recovered from or returned to customers.[44] Continuing areas to which these mitigators apply include:

- Pension and Other Post-Employment Expenses;
- Energy Affordability Program;
- Exogenous Costs;
- Site Investigation and Remediation ("SIR");
- Property and Special Franchise Taxes;
- Negative or Positive Revenue Adjustments;
- Non-Firm Demand Response Services;
- Electric Generator Revenues;
- Economic Development Grant Programs;
- Revenue Decoupling Mechanism;
- Continuing Gas Reconciliation Mechanisms;
- Net Utility Plant and Depreciation Expense Reconciliation Mechanisms;
- City/State Construction, and;
- Variable Pay.

[44] See, *Joint Proposal*, Cases 19-G-0309 et al., at 86 – 101, Appendices 6 – 7, Schedule 1. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={049A7777-4BE8-41FC-B958-6D9EE1C13DD3}.

Importantly, the 2019 cases also provided for eight *new* areas to which mitigators would apply, including:

- Paving Expense (KEDNY Only);
- Downward-Only Reconciliation of IT Net Utility Plant and Depreciation Expense;
- Pension and OPEB Settlement/Curtailment Gain;
- Energy Efficiency Costs;
- Inactive Accounts;
- Uncollectible Accounts;
- Customer Connections, and;
- Reconnect Fees (KEDNY Only).

In these proceedings, the Companies propose a further four areas to which business risk mitigators would apply (Revenue Requirement Panel Testimony at 128), including:

- Credit card and debit card transaction fees;
- Uncollectibles expense;
- Newtown Creek Project revenues (KEDNY only), and;
- Late payment charge revenues.

Moreover, the 2019 cases provided the Companies with opportunities to earn incentive awards by achieving the targets set for certain performance metrics such as "Share The Savings", "LMI Customer Savings" and "Gas Peak Reduction,"[45] with the effect of such awards excluded from the calculation of actual ROEs.[46]

Q. Does setting rates over a multi-year period involve increased financial risks that should be considered when setting authorized ROEs?

A. Yes, although as I have shown, the balance of these risks in the 2006, 2012 and 2016 cases was borne by ratepayers. In the 2019 cases, the balance of financial risks indeed shifted toward shareholders based on data available through Rate Year Two. (Exhibit ___(WDY-03) at 8 - 9) I expect that Rate Year Three data, the filing by the Companies of which coincides with the filing date of my testimony, will show that the average 8.90% GFM

[45] *Id.*, at 30.
[46] *Id.*, at 39.

ROE output during the rate year will have exceeded the Companies' authorized 8.8%, and that under my proposal the Companies would have been entitled to a true-up resulting in surcharge on customer bills. This is indicative of the responsiveness of my proposed mechanism to changes in macroeconomic and investment expectations that affect the Companies' costs of equity. (Due to the timing of the filing of Companies' earnings reports for Rate Year Three, I am unable to include those results in my direct testimony but expect to include them in my rebuttal testimony.)

Moreover, as discussed in the direct testimony of the Capital Structure Panel, the Company is proposing to establish a new long-term debt true-up mechanism that would reconcile the difference between the forecast costs of long-term debt embedded in the authorized rates and the Company's actual costs during each of the Rate Years and Data Years. The Panel points out that such mechanisms have been adopted in past rates cases, including Cases 15-E-0283 et al. (NYSEG/RG&E), 17-E-0238, et al. (Niagara Mohawk) and Case 17-E-0459 (Central Hudson). (Capital Structure Testimony at 25 - 26) The adoption of such a mechanism in these proceedings would add an additional risk mitigator employed by the Commission to reduce the risk borne by the Companies' shareholders.

Q. Are there any other provisions of the Companies' current rate plans that serve to mitigate multi-year business and financial risks?

A. Yes, in particular, although in the 2019 cases KEDNY and KEDLI agreed not to file for new base delivery rates to be effective prior to April 1, 2023, the following exceptions were approved by the Commission with the adoption of the Joint Proposal:[47]

- KEDNY and KEDLI may petition the Commission to implement changes to their base rates as may be required or warranted by newly-enacted legislation or regulations and nothing in the Joint Proposal shall prohibit KEDNY or KEDLI from implementing changes to rates or charges, in a manner to be determined by the Commission, as may be required by newly enacted legislation or regulations;

[47] *Id.*, at 121 – 122.

- KEDNY and KEDLI may petition the Commission for deferral of extraordinary expenses;
- KEDNY and KEDLI may petition the Commission for approval of new services and/or discrete incentives;
- KEDNY and KEDLI may petition the Commission for changes to rate design or revenue allocation that are revenue neutral, including, but not limited to, the implementation of new service classifications and/or elimination of existing service classifications. Such petitions must demonstrate that the proposed changes are consistent with the overall rate design and revenue allocation provided for in this Joint Proposal;
- KEDNY and KEDLI may petition the Commission for minor changes in base rates, provided the effect is de minimis or is essentially offset by associated changes in other base rates, statements, terms or conditions of service; and
- KEDNY and KEDLI may file tariff amendments to implement changes as described in this Joint Proposal.

Q. If the Commission does not accept your proposal for an ROE update mechanism, what is your recommendation in the event that an earnings sharing mechanism ("ESM") is included in a settlement involving a multi-year rate plan in these proceedings?

A. I propose that, if such a settlement results, the ESM:

- Have no "dead band", and;
- Provide for equal sharing between shareholders and ratepayers of any earnings derived from actual returns in excess of authorized ROE.

Costs Determined In Other Proceedings

Q. Are there decisions being made in other proceedings that are affecting, or are likely to affect, the cost of utility service for KEDNY/KEDLI ratepayers?

A. Yes. Beyond the deliberations in these proceedings, there are significant additional costs for which KEDNY/KEDLI ratepayers are being, or can be reasonably expected to be, ultimately held responsible. The amount of these costs is determined through budgets authorized in statewide policy proceedings. In rate cases such as these proceedings, once determinations have been made that costs incurred pursuant to the directives of applicable policy proceedings meet the criteria set forth for recovery in those proceedings, then decisions in current rate cases are generally limited to *the extent to which, not whether*, such costs should be recovered from ratepayers. Applicable costs are either recovered through base rates, surcharge mechanisms, or a combination of both.

Q. Please provide examples of additional costs for which KEDNY/KEDLI ratepayers are incurring, or can be expected to incur, that are determined by budgets authorized in statewide policy proceedings.

A. Examples of initiatives likely to have additional incremental bill impacts for the Company's residential customers include, but are not limited to the:

- Utility Energy Efficiency and Building Electrification (Case 18-M-0084);
- CLCPA Proceeding (Case 22-M-0149);
- Gas Planning Proceeding (Case 20-G-0131), and;
- Geothermal Networks Proceeding (Case 22-M-0429)

The Policy Panel indicates that, to the extent the Commission issues orders and decisions in those matters (e.g., updated energy efficiency budgets) during the pendency of this case or the subsequent rate plan, the Companies propose to incorporate mechanisms to allow for implementation of the programs and recovery of the associated costs to ensure continued progress on these policy issues. (Policy Panel Testimony at 11)

KEDNY SIR Costs

Q. What is your proposal regarding the sharing of KEDNY SIR costs between shareholders and ratepayers?

A. I propose that both KEDNY's share and the customer share of any ESM adopted in these proceedings be used to paydown Deferred Environmental Costs (Account 182.3). I further

propose that the Commission make an updated cumulative assessment of the amount of cost attributable to any deviation by KEDNY from the requirements of the SIR order and require a shareholder-funded reduction in the balance of deferred environmental costs owed by ratepayers by that same amount.

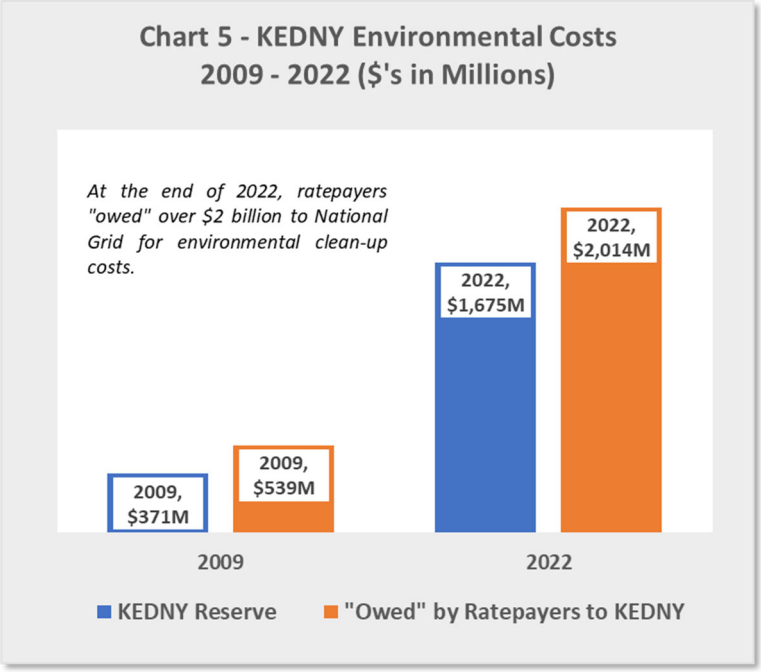
Q. Why do you recommend that KEDNY's share of any ESM adopted in these proceedings be used to paydown deferred environmental costs?

A. According to the testimony of the Policy Panel, escalating environmental costs are responsible for seven percent (7%) of KEDNY's proposed revenue requirement increase. (Policy Panel Testimony, Exhibit 1) Furthermore, Witness Charles F. Willard proposes that the "SIR Recovery Surcharge", a mechanism established in Cases 16-G-0059 and renewed in Case 19-G-0309, be continued in the current proceeding. This could add up to another two percent to KEDNY ratepayer bills, depending upon the timing and potential magnitude of SIR outlays. (Testimony of Charles F. Willard at 11 – 12)

Q. How quickly have KEDNY's environmental clean-up costs been escalating?

A. Since 2009, KEDNY's deferred environmental costs balance — the amount it eventually expects to collect from ratepayers to pay for clean-up — has increased almost 300%, from $539 million to over $2 billion. Since Case 19-G-0309 alone (four years), KEDNY SIR deferrals have escalated 36%.[48] (Chart 5)

[48] See, *Corrected Testimony of William D. Yates, CPA for Public Utility Law Project of New York, Inc.*, Cases 19-G-0309 et al., at 21. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={7B7556A1-CE39-4C93-BD0F-0E989458B328}.



(Exhibit (WDY-01) at 11)

Company environmental reserves — money KEDNY estimates it will have to spend in the future on clean-up activities — more than quadrupled from 2009 through 2022, from $371 million to $1.675 billion. During the same period, the amount the Company intends to recover from its rate payers related to environmental clean-up costs rose from $539 million to $2.014 billion. (Expected recovery equals costs already incurred but not yet recovered, plus expected future clean-up costs). Worse, there is no sign that these balances will decrease in the short term. To my knowledge, no other utility in New York State history has imposed such a financial burden solely upon its ratepayers arising from environmental degradation as has National Grid's New York City gas utility.

Q. Has the Commission included a provision for sharing costs of environmental clean-up between shareholders and ratepayers in prior KEDNY rate cases?

A. Yes. In its August 12, 2021, *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements* in Cases 19-G-0309 et al. ("2019 Order"), the Commission

approved the inclusion of an ESM specifying that 50% of KEDNY's share of earnings derived from ROEs exceeding 9.8% would be used to reduce SIR deferrals.[49]

Q. Do you think this represented a sufficiently equitable sharing of SIR costs between shareholders and ratepayers?

A. No, for at least three reasons. Firstly, the ESM included a dead band over authorized ROE that would have had to be exceeded for sharing to even begin. (KEDNY has not achieved such an ROE in the rate plan thus far.) Secondly, the sharing of SIR costs only applied to the two highest sharing bands — those above 9.8% and 10.3%. Finally, KEDNY was only required to utilize 50% of its share of excess earnings in these two highest bands to pay down SIR deferrals.

Q. Why do you recommend that the Commission require a shareholder-funded reduction in the balance of deferred environmental costs owed by ratepayers if the Commission determines that the KEDNY has not complied with all parts of the SIR Order?

A. In their 2019 Order, the Commission expressed concern that KEDNY had not shown "the timeliness of remediation, [and] adherence or slippage from established remediation schedules," which the SIR Order[50] requires to justify full ratepayer funding.[51] Of further concern to the Commission were its observations that 1) KEDNY's SIR reporting lacked cost details associated with specific sites and, 2) failed to specify in detail how its SIR rate allowance had been spent, including the amount expended on various consultants, engineers, contractors, attorneys, or others. The Commission concluded that KEDNY's annual reporting and details of remedial expenditures may require greater DPS Staff oversight not only to provide protection for ratepayers, but also to track the dollars

[49] See, *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements*, Cases 19-G-0309 et al., at 104 – 110. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={CC550437-3EC4-4F79-8F83-CFA85C572020}.

[50] See, *Order Concerning Costs for Site Investigation and Remediation*, Case 11-M-0034, at 29. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={AC9EFACF-2A01-4629-9B7C-F5637530A026}.

[51] *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements*, Cases 19-G-0309 et al., at 107.

expended and to assure that remedial work is timely completed by KEDNY at the numerous contaminated sites for which it is responsible.[52]

Q. Are any of the communities in areas vicinity of the Newtown Creek or Gowanus Canal superfund sites energy burdened disadvantaged communities?

A. Yes. I determined that Newtown Creek abutted and/or flowed through two DAC designated census tracts (36081019900 and 36047044900) in which the DAC vulnerability indicator "Energy Poverty / Cost Burden" was greater than 50% of census tracts statewide. In my view, these DACs are at a higher risk of being disproportionately burdened by the Companies' proposal to require KEDNY ratepayers to pay 100% of the clean-up costs of Newtown Creek and the Gowanus Canal because their average energy burdens are already higher than a majority of census tracts statewide. Moreover, these communities are also already dealing with a variety of the sites' negative environmental side-effects but are expected under KEDNY's proposal to pay "their share" of the 100% recovery while KEDNY shareholders pay nothing at all.[53]

Disadvantaged Communities ("DACs")

Q. You addressed the subject of disadvantaged communities in your previous response. Were you able to identify substantially all disadvantaged communities in the KEDNY/KEDLI service areas as defined by the criteria set forth under the CLCPA?

A. Yes. The Companies' response to I/R PULP-24, which identifies all the census tracts in the KEDNY/KEDLI services areas (Exhibit ___(WDY-05) at 124 – 172), cross-referenced with the Climate Action Council's ("CAC") finalized criteria for defining disadvantaged communities, allowed me to identify substantially all communities in the KEDNY/KEDLI service areas that have been designated as DACs.[54] (Exhibit ___(WDY-01) at 16 – 27)

[52] *Id.*, 108-109.
[53] See, *Climate Act - Disadvantaged Communities Criteria Map*. Available at: https://climate.ny.gov/resources/disadvantaged-communities-criteria/#nygov-header.
[54] See, *Final Disadvantaged Communities (DAC) 2023*, DATA.N.Y.GOV. Available at: https://data.ny.gov/Energy-Environment/Final-Disadvantaged-Communities-DAC-2023/2e6c-s6fp.

Q. Have the Companies defined all these disadvantaged communities in their service areas as required by the CLCPA?

A. The Customer Panel stated that National Grid began an internal project in 2022 to identify and map Disadvantaged Communities within the operating companies' service territories. (Customer Panel at 14) The Companies' response to I/R PULP-35 indicates that to date, they have developed the capability to overlay their service territories with census tracts using Geographic Information System ("GIS") mapping and that they are also in the process of creating a map of the Disadvantaged Communities within their service territories for use by the Companies' energy efficiency programs. According to the Companies, the map is currently undergoing revisions to ensure accuracy and no specific reports or workpapers are available. (Exhibit ___(WDY-04) at 55)

Q. Are you concerned that DACs could be disproportionately burdened by the Companies' proposed rate increases?

A. Yes. As indicated earlier in my testimony, I am concerned about the possibility that residents of communities located in the vicinity of the Newtown Creek superfund site with elevated DAC-defined "Energy Poverty / Cost Burden" vulnerabilities could potentially be disproportionately impacted by the Companies' proposal that ratepayers pay 100% of the clean-up cost at this site. More broadly, I am concerned that disadvantaged communities already experiencing gas energy burdens in excess of the Commission's percent of income goal for KEDNY/KEDLI customers at higher rates than non-DACs would be disproportionately affected by the Companies' overall rate increase requests.

Q. Were you able to identify examples of DACs that could potentially be disproportionately burdened by the Companies' proposed rate increases?

A. Yes. I found that communities in the DAC-designated Brownsville and Ocean Hill areas of Brooklyn could potentially be disproportionately impacted by the Companies' proposed rate increases when compared to Non-DAC-designated communities of Forest Hill and Rego Park in Queens.

Q. How did you arrive at this conclusion?

A. I analyzed the percentage of households with identified gas energy burdens exceeding three percent of their incomes in both these areas using the most recently available ACS Microdata. The result was my estimate that there was a significant difference between the percentage of households having such burdens in the Brownsville / Ocean Hill areas of Brooklyn (31.4%); and the Forest Hills and Rego Park areas of Queens (13.1%). To the extent that households with such burdens in DAC-designated communities in Brownsville and Ocean Hill represent KEDNY households potentially eligible for EAP, the risk is that a disproportionate percentage of households in these communities will be additionally burdened by the Company's proposed rate increases, when compared to the percentage of similarly situated KEDNY households in Non-DAC designated communities in Forest Hills and Rego Park. (Table 1) (Exhibit ___(WDY-06)

Table 1: Percent of Households Identifying Gas Energy Burdens Over 3% of Income (Brownsville/Ocean Hill vs. Forest Hills/Rego Park)

ACS Microdata Area	Percent Identifying Gas Energy Burden Over 3% (2021)	
	Estimate	Margin of Error
Brownsville/Ocean Hill, Brooklyn	31.4%	+/- 3.2%
Forest Hill/Rego Park, Queens	13.1%	+/- 2.5%

Exhibit ___(WDY-06) at 6

Q. Were you able to replicate this analysis for all DACs in the Companies' service areas?

A. No. I did not have the resources at my disposal to conduct such a comprehensive analysis. There are almost 500 KEDNY DACs and 100 KEDLI DACs, with very few ACS Microdata areas comprised entirely of census tracts designated as disadvantaged. (Exhibit ___(WDY-01) at 16 – 17, 23) The Companies and the Commission (through DPS) have much more capacity to undertake an equivalent analysis at the census tract level using, for example, purchased data of the sort the Companies used to identify customers potentially eligible for EAP enrollment. (Exhibit ___(WDY-04) at 38)

Q. Has the Commission ruled on the applicability of CLCPA section 7(3) to rate cases?

A. Yes. In its *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements*, in Cases 19-G-0309 et al., the Commission determined that the CLCPA applied to the Joint Proposal in those cases:

> Having considered the matter at great length, we are persuaded that [CLCPA] Sections 7(2) and 7(3) are applicable to the Commission's actions here.[55]

In regard to Section 7(3) specifically, the Commission observed that:

> Section 7(3) provides as follows:
>
> > In considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts, pursuant to article 75 of the environmental conservation law, all state agencies, offices, authorities, and divisions shall not disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the environmental conservation law.
>
> As the language of Section 7(3) also requires application of its terms to agency issuance of "other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts," the interpretation provided for Section 7(2), above, also applies here.
>
> In sum, we find Section 7(2) and (3) applicable to rate cases.[56]

PULP Customer Service Proposals

Deferred Payment Agreements

Q. Do you have any recommendations for KEDNY deferred payment agreements ("DPAs")?

[55] See, *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements*, Cases 19-G-0309 et al. at 69. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={CC550437-3EC4-4F79-8F83-CFA85C572020}.
[56] *Id.*, at 70.

A. Yes. In reviewing the Company's training materials on DPAs, I noted that eligible customers who require a DPA with more affordable terms than those offered in either KEDNY's "Specific HEFPA DPA", "General HEFPA DPA" or "Extended Payment Plan" must either visit a district office to complete a financial statement or complete one on the Company's website. The same requirement is imposed by the Company on customers who need to renegotiate their DPAs because they have had significant changes in their financial circumstances for reasons that were beyond their control and the changes happened after they signed their agreements. (Exhibit __(WDY-05) at 14, 16, 18) This places an undue burden on customers who do not have internet access, or do have internet access but have barriers to completing an online statement such as language or technology proficiency, or age or disabilities, by requiring them to physically appear at a district office to obtain the affordable DPAs to which they are entitled.

Q. Did PULP raise this issue in Case 19-G-0309?

A. Yes. In that case, I observed that there was no other option for eligible KEDNY customers than physically going to a customer service center to complete a financial statement if they needed to obtain more lenient DPAs than those offered in the terms of either the Company's "Specific HEFPA DPA", "General HEFPA DPA" or "Extended Payment Plan". I proposed in that case that such a requirement be eliminated and that KEDNY customers be able to negotiated affordable DPAs over the phone with customer service representatives ("CSRs"), as was (and is) the case for customers of eligible KEDLI customers needing affordable, HEFPA-compliant DPAs.[57]

Q. Did the Order in Cases 19-G-0309 et al. call for an end to the practice of requiring KEDNY customers to physically appear at a Company office in order to obtain more affordable DPAs than either the "Specific HEFPA DPA", "General HEFPA DPA" or "Extended Payment Plan"?

[57] See, *Corrected Testimony of William D. Yates, CPA for Public Utility Law Project Of New York, Inc.*, Cases 19-G-0309 et al. at 46. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={7B7556A1-CE39-4C93-BD0F-0E989458B328}.

A. Yes. The Commission's Order, at 183, approved and adopted the provision in the joint proposal in those cases that:

> In addition to implementing E-DPAs, KEDNY would no longer require customers to come into a KEDNY Customer Office to provide documentation for a DPA.[58]

Q. Has KEDNY taken steps to implement this provision?

A. Yes. Per the Companies' response to I/R PULP-42, KEDNY customers wishing to apply for a Minimum DPA (not Specific, General, or Extended) may now complete a financial statement online, and they are not required to log into the Unified Web Portal to complete this statement. An email link to the Online Financial Statement is generally provided to the customer when on the phone with an agent discussing payment options.[59] The customer can upload their proof documents within the form and, once submitted, the form and proof are emailed to the back-office team for review. KEDNY customers may also go to the customer office to complete a financial statement in person or receive documents via paper mail. (Exhibit ___(WDY-04) at 67)

Q. Does KEDLI impose the same requirement to visit a district office for customers who require more lenient DPAs?

A. No. KEDLI instructs its customer service representatives ("CSRs") to take financial statements during calls with customers who wish to negotiate a DPA with terms more lenient than a "standard agreement". The script they are instructed to read to such customers is as follows:

> "In an effort to assist you with payment options, I would like to complete a financial statement by asking you a series of questions regarding your income and expenses. Please provide actual figures from the last 30 days as you will be required to send supporting documents."
>
> (Exhibit ___(WDY-05) at 56)

[58] See, *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements*, Cases 19-G-0309 et al., at 183. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={CC550437-3EC4-4F79-8F83-CFA85C572020}.

[59] See, Financial Statement Calculator (3596 form) - NYC

Q. Are there any other inconsistencies between KEDNY and KEDLI practices as regards DPAs?

A. Yes. KEDLI instructs its CSRs to inform customers of the various options available to address their payment problems. These are short term "collection arrangements", "standard deferred payment agreements" and "more lenient deferred payment agreements". The suggested language is as follows:

Figure 1: Suggested Language Regarding Payment Options

We offer three repayment programs:

1. A short-term Collection Arrangement that will assist with paying the balance in full within 36 to 40 days with flexible installment amounts you choose, and will require a 25% down payment to start. Late payment charges of 1.5% per month will continue to apply.

2. A Standard Deferred Payment Agreement is a longer-term monthly repayment plan which requires 15% of your full balance as a down payment , the remaining balance to be paid in equal monthly installments, plus your current bill each month. This agreement requires you pay the down payment, sign and return the agreement within 10 days in order for it to be activated.

3. A More Lenient Deferred Payment Agreement (Minimum) is offered to customers who are able to demonstrate financial need. A down payment is not required and installments may be as low as $10 per month plus your current bill. To apply for a more lenient deferred payment agreement, you will need to provide documentation of your income and allowable household expenses.

(Exhibit ___(WDY-05) at 56)

I found no equivalent script explaining the options available to KEDNY customers to address their payment issues. Furthermore, the Companies' response to I/R PULP-43 confirmed that there is no equivalent script that KEDNY CSRs are instructed to read to make KEDNY customers aware of their payment options.

Q. Have the Companies identified why KEDNY customers who cannot complete a financial statement online must appear at a Company office in order to obtain a non-standard DPA?

A. Yes. In their response to I/R PULP-46, the Companies indicated that KEDNY's "CRS" system does not have the built in Financial Statement capabilities as KEDLI's "CSS" does. (Exhibit ___(WDY-04) at 78)

Q. Do you have a proposal to overcome this limitation?

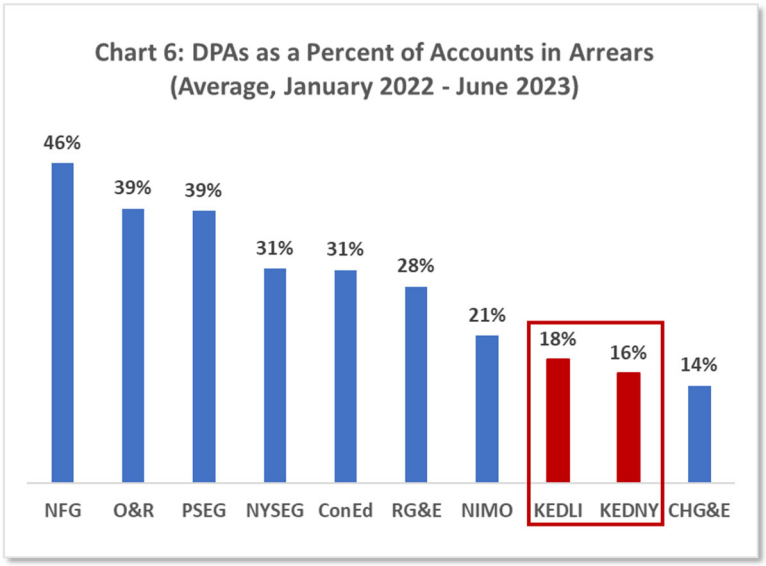
A. Yes. I propose that KEDNY adopt a procedure allowing Company representatives to take financial statement information over the phone from customers to determine eligibility for non-standard DPAs. For those customers whose financial information indicates they would be eligible for non-standard DPAs, I further propose that such DPAs be issued, with the requirement that eligibility-confirming documentation be subsequently submitted by the customer.

Q. Do you have any other concerns about the availability of DPAs for KEDNY/KEDLI customers?

A. Yes. Since the December 2021 expiration of the 180-day grace period for customers to self-certify their eligibility for minimum DPAs under the "Parker-Richardson Moratorium Act,"[60] rates of outstanding DPAs as a percentage of customers in arrears at KEDNY and KEDLI, along with their sister company Niagara Mohawk, have lagged those of all the other major electric and gas utilities in New York State except Central Hudson, which has been under investigation by the Commission for apparent billing system defects that could be impacting customers' willingness to enter into DPAs for charges they dispute.[61] Furthermore, KEDNY's DPAs as a percent of arrears, at 16%, is even lower than its sister companies KEDLI and Niagara Mohawk. (Chart 6)

[60] See, *Chapter 53 of the Laws of 2020* – Amendments to Public Service Law (PSL) §§ 32, 89-b, 89-l and 91. Chapter 106 of the Laws of 2021 – Amendments to PSL §§ 32, 89-b, 89-l, 91, 216 and General Business Law (GBL) §399-zzzzz. Available at: https://www.nysenate.gov/legislation/bills/2021/S1453.

[61] Central Hudson is in the midst of numerous billing disputes that have led to an unprecedented increase in arrears (and a concomitant decrease in its ratio of DPAs to Arrears). These disputes stem from Central Hudson's September 2021 upgrade of its customer information and billing system — an implementation that is now the subject of a Commission investigation. Prior to the COVID-19 pandemic, Central Hudson's ratio of DPAs to Arrears was comparable to those of the six major electric and gas utilities not owned by National Grid. See: *Central Hudson Called to Account for Apparent Billing System Defects*, NYS Public Service Commission, Case 22-M-0645. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={259361B4-8762-4126-8871-19B09109C2E7}.



(Exhibit ___(WDY-01) at 12)

As Chart 6 shows, KEDNY's average outstanding DPAs as a percentage of arrears from January 2022 through June 2023 were only 16%. KEDLI, though it also had much lower DPAs as a percentage of arrears than NFG, PSEG Long Island, Con Edison, NYSEG and RG&E, had a higher ratio than KEDNY, and also did not have the requirement for customers seeking more lenient DPAs to complete a financial statement at a district office if they could not do so online.

Q. What do you think should be done about the low rates of DPAs to arrears at KEDNY and KEDLI versus their peers?

A. I believe that the Companies should undertake efforts to boost their rates of outstanding DPAs to arrears to levels comparable to those of NFG, PSEG Long Island, Con Edison, NYSEG and RG&E, which range from 28% (RG&E) to 46% (NFG). I believe a reasonable goal to set would be raising this ratio to 33%, representing the average of these six utilities. (Exhibit ___(WDY-01) at 15) This would afford more residential customers of both companies the protections set forth by HEFPA against collections actions such as late payment charges, notice of service termination, actual service termination and referral to collections agencies.

Elderly, Blind & Disabled Customers

Q. What has been the trend in the number of residential customers of the Companies coded for special procedures required under HEFPA pertaining to the termination, disconnection or suspension and restoration of utility service in cases involving elderly, blind or disabled ("EBD") customers?[62]

A. The Companies' response to I/R PULP-04 showed that the number of KEDNY accounts coded for protection of elderly, blind and disabled customers under HEFPA declined in each year from 2018 through the most recent twelve-month period ended either April or May of 2023. The Companies were not able to report on the equivalent data for KEDLI because its CSS billing system does not contain historical data for Elderly/Blind/Disabled customers. (Exhibit ___(WDY-04) at 10)

Q. Were the Companies able to explain why there had been such declines for KEDNY customers coded for EBD special procedures?

A. The Companies' response to I/R PULP-38 indicates that they are not aware of any particular reason for the decline in participation, but the decline could be attributable to changes in eligible populations and households. (Exhibit ___(WDY-04) at 58)

Q. What is your recommendation regarding the Companies' coding of accounts for special procedures for EBD customers?

A. I recommend that the Companies increase their promotion and marketing of this program, with a particular focus on direct interactions with individual customers during outbound and inbound customer service communications, especially those related to payment and collections matters. I also recommend that KEDLI assess the capabilities of its CSS system to determine the feasibility and cost of developing the capability to track the historical coding of accounts for EBD customers.

[62] 16 NYCRR § 11.5(b)

Language Access

Q. Do you support the Companies' proposal for enhancing communications for Spanish-speaking customers?

A. Yes, especially since the Companies' response to I/R PULP-48 indicates that they intend to provide training for representatives at these locations specifically addressing KEDNY/KEDLI collections policies and procedures. (Exhibit ___(WDY-04) at 82) The Companies propose to improve call center operations by enabling a third-party vendor to utilize their near-offshore (e.g., Guatemala) facilities to manage KEDNY/KEDLI inbound Spanish call volume associated with moves, customer connections and collections. For any calls handled by such call centers, this new process would replace the current practice of using language interpreter services for addressing the customer service requirements necessitating their outreach to the Companies. The Customer Panel states this would improve the customer service experience for Spanish speakers by allowing them to speak to an agent in their native language; whereas interpreters tend to cause added length calls; confusion in some cases due to the back and forth with the customer, National Grid agent, and interpreter agent; and overall less effective customer service experiences. KEDNY/KEDLI do not anticipate that there would be any incremental revenue requirement associated with this proposal.

Q. Why not use New York-based call centers for this purpose?

A. The Customer Panel indicates that the Companies have not been able to maintain sufficient staff to provide full in-language support for customers even though the wage structure is higher for a bilingual agent, while also indicating that National Grid will continue to attempt to hire Spanish speaking employees from New York.

Q. Do you agree that providing full in-language support would result in a better customer experience than language translation services for KEDNY/KEDLI Spanish speaking customers?

A. Yes, based on my own experience at PULP. Our organization frequently receives calls from Spanish-speaking utility customers, including KEDNY/KEDLI customers. We have a dedicated Spanish speaking staff member who we generally find is able to assist these

customers in a much more attentive, holistic and effective way than is possible when we have to rely solely upon language interpretation services.

Q. Do you think this could help raise the number of DPAs that KEDNY/KEDLI Spanish-speaking customers are able to negotiate?

A. Yes, with the proper call center representative training, and assuming KEDNY fully implements the provision from the 2019 Order eliminating the need for its customers to go to a Company office to obtain DPAs that require financial statements.

Termination and Uncollectible Incentive Performance Measure

Q. Do you support the Companies' proposal to resume their termination and uncollectible incentive performance measure?

A. No, for several reasons, including but not limited to the following:

1. As previously stated, given the magnitude of the proposed rate increases in these proceedings and the unaffordability challenges faced by many low-income households in the Companies' service areas, I do not support the inclusion of any EAMs or other incentive award mechanisms in these proceedings.

2. I do not believe this mechanism is necessary. The Commission has the ability to direct the Companies to limit terminations and uncollectibles by other means, such as by requiring them to negotiate more HEFPA-compliant DPAs. I believe that progress in this area could be especially fruitful with little added cost to ratepayers, given both companies' low rate of DPAs as a percentage of arrears compared with other utilities.

3. The mechanism is not balanced (symmetrical) in that it does not include a provision for negative revenue adjustments that discourages poor performance (e.g. high levels of terminations). As proposed, incentive payments would be awarded if KEDNY/KEDLI achieve the *reduction* targets they propose, but would not be penalized if terminations and/or uncollectibles were to *rise* by the same amounts set for the achieving of positive performance.

4. The targets are not sufficiently demanding. The Companies propose to resume the mechanism by again setting the targets for incentive awards based on performance exceeding only one standard deviation from base year averages. This allows too much of a chance that awards made will be based on other variables than performance beyond expectations. In this regard, I observe that the Companies each comfortably achieved their targets for this metric in the two rate years prior to the suspension of the metric adopted in the 2016 cases, which was based on targets set at performance only one standard deviation above average. (Customer Panel Testimony at 76)

As Staff recognized in the 2017 Niagara Mohawk rate case:[63]

> Targets should be designed to ensure that the Company is neither rewarded nor punished for results within a normal range of variation. Statistically, a result that is more than two standard deviations from the average carries a 95 percent confidence level that the result is not due to normal, random variations. Such a result therefore is most likely due to utility actions.

In the same cases, Staff also made a point of noting that this same standard for setting targets had been used in multiple prior rate cases, including O&R, Cases 14-E-0493 and 14-G-0494; NYSEG and RG&E, Cases 15-E-0283, 15-G-0284, 15-E-0285 and 15-G-0286; Con Edison, Cases 16-E-0060 and 16-G-0061; and Corning Natural Gas Corporation, Case 16-G-0369.[64]

Suspension of Service Terminations During Periods of Cold Weather Periods

Q. Do the Companies have provisions in their current rate plans pertaining to the suspension of service terminations during cold weather periods?

A. No, however, they voluntarily comply with additional cold weather protections other than those in HEFPA. Annually, the Companies have agreed to additional protections requested

[63] See, *Staff Consumer Services Panel Testimony*, Cases 17-E-0238 et al., at 26 – 27. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={3525D866-B23C-42F9-980D-22885387CAA0}.
[64] *Id.*, at 26.

by the PSC, local service agencies, and other groups to the following voluntary winter measures regarding terminations for non-payment, including:

- For the period from November 1 through April 15, the Companies will accept all Home Energy Assistance Program (HEAP) payments and provide the customer with continued or restored service regardless of the amount due and/or the customer's payment status. The Companies' Customer Advocate outreach programs will continue with focus on HEAP, fuel funds, and the Energy Affordability Program;

- During the Cold Weather Period, the Companies will consider any Regular and/or Emergency HEAP payment as entitling the applicant to a fair and reasonable Deferred Payment Agreement, regardless of any previous DPA defaults;

- The Companies refrain from scheduling residential service terminations on days when the local weather forecast predicts below-freezing temperatures, and;

- The Companies establish a voluntary moratorium on winter terminations for customers who are elderly, blind or disabled.

(Exhibit ___(WDY-04) at 89 – 90)

Q. What do you recommend that the Companies adopt in this regard?

A. I recommend that KEDNY/KEDLI commit to follow these provisions in any settlement that results from these proceedings.

Q. What is the basis for your recommendation?

A. As extreme weather events become more frequent, preventing service terminations during cold weather periods is an increasingly important public health, safety, and welfare priority. Vulnerable customers must be able to rely upon natural gas for home heating, without which they are at increased risk of hypothermia during cold weather periods, as well as the risk that they may resort to unsafe alternatives for heating should their service be terminated. HEFPA sets forth special procedures that must be followed by utilities during

cold weather periods before they can terminate service to heating customers,[65] but it has increasingly been the consensus of signatory parties in recent joint proposals adopted by, or pending before, the Commission in rate cases that more protections are needed. All of the other major electric and gas utilities in the State, with the exception of National Fuel Gas, are operating under, or have for consideration before the Commission, settled rate plans that commit to the above provisions during cold weather periods, including Central Hudson Cases 20-E-0428 et al.,[66] Con Edison Cases 22-E-0064 et al.,[67] NYSEG/RG&E Cases 22-E-0317 et al.,[68] Niagara Mohawk Cases 20-E-0380 et al.,[69] and Orange & Rockland Cases 21-E-0074 et al.[70]

Domestic Violence

Q. Do the Companies have any specific training materials, internal policy documents or other relevant communications that pertain to situations in which a customer indicates that they may have been the victims of domestic violence?

A. No. The Companies' response to I/R PULP-50 indicates they do not have any specific training materials, internal policy documents or other relevant communications involving situations in which customers indicate that they may have been the victims of domestic violence. (Exhibit ___(WDY-04), 60)

Q. Why is it important for the Companies to adopt policies and procedures?

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[65] 16 NYCRR § 11.5(c)

[66] See, *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan*, Cases 20-E-0428 et al., at 39-40. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={620496E5-AD82-48C0-A17D-418AF7FD78F7}.

[67] See, *Joint Proposal*, Cases 22-E-0064 et al., at 107 - 108. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={070F9CB3-17F6-4FAD-B030-1139B47545B5}.

[68] See, *Joint Proposal*, Cases 22-E-0317 et al., at 35 - 36. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={80D9BA88-0000-CB3C-80B6-F31ED57C8C08}.

[69] See, *Order Adopting Terms of Joint Proposal, Establishing Rate Plans and Reporting Requirements*, Cases 20-E-0380 et al., at 41. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={F8B4C3B1-D008-4F5F-82CA-5DC27D4C4B4A}.

[70] See, *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, With Additional Requirements*, Cases 21-E-0074 et al., at 120. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={72F442B0-A71B-4382-B210-44261199D871}.

A. Since the Pandemic began, PULP has experienced an increase in calls and referrals by residential utility customers who indicate that they have been victims of domestic violence. On October 28, 2021, Governor Hochul signed S.1557/A.4496, which requires every utility corporation to allow persons under shared contracts for utility service, and who are victims of domestic violence, to opt-out of such contracts without charge when they request to do so in writing and provide valid documentation that they have reported such abuse to law enforcement and/or other applicable authorities.[71]

Q. Do the Companies allow shared contracts for utility service?

A. No. The Companies' responses to I/Rs PULP-57 – PULP-58 indicate that they do not allow for joint ownership of accounts. A primary account holder can close their account at any time. Additionally, if a primary account holder has authorized a secondary party to make changes on the account, they can remove that secondary party at any time. Likewise, the secondary party may remove themselves at any time. The secondary party has no financial responsibility related to the account. (Exhibit ___(WDY-04) at 94 – 95.

Q. Are there circumstances in which persons residing at the service address other than the primary account holder can be held financially responsible for the account?

A. I was unable to determine this based on the responses to I/Rs PULP-57 and PULP-58, but have issued I/R PULP-60 in an effort to clarify whether or not such is the case. I expect the Companies' response to be available for me to address in my rebuttal testimony.

Conclusion

Q. Does this conclude your testimony?

A. Yes.

[71] PSL, Article 1, § 48-a.